(ii) AS 10 states that the carrying amount of an item of property, plant and equipment is derecognized on disposal of the asset. It further states that the gain or loss arising from the derecognition of an item of property, plant and equipment should be included in the statement of profit and loss when the item is derecognized. Gains should also not be classified as revenue.

Calculation of loss on disposal of the asset and its accounting treatment

		₹
Original cost of the asset	A	76,000
Accumulated depreciation till date	B	62,000
Carrying value of the asset as on 31st March, 20X1	C = A – B	14,000
Cash received on disposal of the asset	D	4,000
Loss on disposal of asset charged to the Profit and loss account	**E = C – D**	**10,000**

Question 17

Skanda Ltd. acquired a machinery for ₹ 2,50,00,000 five years ago. Depreciation was charged at 10% p.a. on SLM basis, useful life being 10 years. At the beginning of Year 3, the machinery was revalued to ₹ 3,00,00,000 with the surplus on revaluation being credited to Revaluation Reserve. Depreciation was provided on the revalued amount over the balance useful life of 8 years. The machinery was sold in the current year for ₹ 1,12,50,000. Give the accounting treatment for the above in the Company's accounts. What will be the treatment if the machinery fetched only ₹ 42,50,000 now?

Answer

Particulars	**₹**
Original Cost of the Asset	2,50,00,000
Depreciation for 2 years (₹ 2,50,00,000 x 10% x 2 years)	50,00,000
Book Value at the beginning of Year 3	2,00,00,000
Add: Revaluation Surplus (balancing figure)	1,00,00,000
Revalued Amount as given = revised depreciable value	3,00,00,000
Depreciation for Years 3 to 5 (₹ 3,00,00,000 ÷ 8 yrs x 3 yrs)	1,12,50,000
Carrying Amount at the end of Year 5	**1,87,50,000**

The treatment of Gain/Loss on Disposal/Revaluation is as below:

Particulars	**If disposal Proceed is ₹ 1,12,50,000**	**If disposal Proceed is ₹ 42,50,000**
	₹	₹
Book Value	1,87,50,000	1,87,50,000
Less: Disposal Proceeds	1,12,50,000	42,50,000
Loss recognized in Profit or Loss Account	75,00,000	1,45,00,000
Revaluation Surplus transferred to Retained Earnings	1,00,00,000	1,00,00,000

Subsequent Costs on PPE [Replacement of Part]

Question 18

Bharat Infrastructure Ltd. acquired a heavy machinery at a cost of ₹ 1,000 lakhs, the breakdown of its components is not provided. The estimated useful life of the machinery is 10 years. At the end of Year 6, the turbine, which is a major component of the machinery, needed replacement, as further usage and maintenance was uneconomical. The remainder of the machine is in good condition and is expected to last for the remaining 4 years. The cost of the new turbine is ₹ 450 lakhs. Give the accounting treatment for the new turbine, assuming SLM Depreciation and a discount rate of 8%.

Note: PV factor @8% for 6th year is 0.63018

Answer

As per AS 10, Property, Plant and Equipment, the derecognition of the carrying amount of components of an item of Property, Plant and Equipment occurs regardless of whether the cost of the previous part / inspection was identified in the transaction in which the item was acquired or constructed. If it is not practicable for an enterprise to determine the carrying amount of the replaced part/ inspection, it may use the cost of the replacement or the estimated cost of a future similar inspection as an indication of what the cost of the replaced part/ existing inspection component was when the item was acquired or constructed.

In the given case, the new turbine will produce economic benefits to Bharat Infrastructure Ltd. and the cost is measurable. Since the recognition criteria is fulfilled, the same should be recognised as a separate item of Property, Plant and Equipment. However, since the initial breakup of the components is not available, the cost of the replacement of ₹ 450 lakhs can be used as an indication based on the guidance given above, discounted at 8% for the 6-year period lapsed.

Thus, estimate of cost 6 years back = ₹ 450 lakhs ÷ 1.08^6 = ₹ 283.58 lakhs

Current carrying amount of turbine (to be de-recognised) = Estimated cost ₹ 283.58 lakhs (–) SLM depreciation at 10% (useful life 10 years) for 6 years ₹ 170.15 lakhs = ₹ 113.43 lakhs.

Hence revised carrying amount of the machinery will be as under:

Particulars	**₹ in lakhs**
Historical Cost [₹ 1,000 lakhs (–) SLM Depreciation at 10% (10 year life) for 6 years]	400.00
Add: Cost of new turbine	450.00
Less: Derecognition of current carrying amount of old turbine	(113.43)
New Carrying Amount of Machinery	**736.57**

Mixed Topics

Question 19

In the books of Topmaker Limited, carrying amount of Plant and Machinery as on 1st April, 20X1 is ₹ 56,30,000.

On scrutiny, it was found that a purchase of Machinery worth ₹ 21,12,000 was included in the purchase of goods on 1st June, 20X1. On 30th June, 20X1 the company disposed a Machine having book value of ₹ 9,60,000 (as on 1st April, 20X1) for ₹ 8,25,000 in part exchange of a new machine costing ₹ 15,65,000.

The company charges depreciation @ 10% p.a. on written down value method on Plant and Machinery.

You are required to compute:

(i) Depreciation to be charged to Profit & Loss Account;

(ii) Book value of Plant & Machinery as on 31st March, 20X2; and

(iii) Profit/Loss on exchange of Plant & Machinery.

Answer

(i) Depreciation to be charged in the Profit & Loss Account

Particulars	Amount in ₹
Depreciation on old Machinery [10% on ₹ 56,30,000 for 3 months (01.04.20X1 to 30.06.20X2)]	1,40,750
Add: Depreciation on Machinery acquired on 01.06.20X1 (₹ 21,12,000 x 10% x 10/12)	1,76,000
Add: Depreciation on Machinery after adjustment of Exchange [10% of ₹ 56,30,000 – 9,60,000 + 15,65,000) for 9 months]	4,67,625
Total Depreciation to be charged in Profit & Loss A/c	**7,84,375**

(ii) Book value of Plant & Machinery as on 31.3.20X2

Particulars		Amount in ₹
Balance as per books on 01.04.20X1		56,30,000
Add: Included in purchases on 01.06.20X1	21,12,000	
Add: Purchases on 30.06.20X1	15,65,000	36,77,000
		93,07,000
Less: Book value of Machine sold on 30.06.20X1		(9,60,000)
		83,47,000
Less: Depreciation on Machinery in use ₹ (7,84,375 – 24,000)		(7,60,375)
Book Value as on 31.03.20X2		**75,86,625**

Note: The computation of depreciation and book value of Plant & Machinery can be presented in the following alternative manner:

Particulars	Book Value or Cost of Acquisition	Period	Depreciation	Book Value as on 31.03.20X2
Opening Value	46,70,000 (56,30,000 – 9,60,000)	01.04.20X1 to 31.03.20X2	4,67,000 (46,70,000 x 10%)	42,03,000
Sold	9,60,000	01.04.20X1 to 30.06.20X1	24,000 (9,60,000 x 10% x 3/12)	–
Purchases	21,12,000	01.06.20X1 to 31.03.20X2	1,76,000 (21,12,000 x 10% x 10/12)	19,36,000
New Machinery	15,65,000	01.07.20X1 to 31.03.20X2	1,17,375 (15,65,000 x 10% x 9/12)	14,47,625
Total			**7,84,375**	**75,86,625**

(iii) Profit/Loss on Exchange of Machinery

Particulars	Amount in ₹

Balance as per books on 01.04.20X1	9,60,000
Less: Depreciation for 3 months (₹ 9,60,000 x 10/100 x 3/12)	(24,000)
W.D.V. as on 30.06.20X1	9,36,000
Less: Exchange value	(8,25,000)
Loss on Exchange of Machinery	**1,11,000**

Question 20

Akshar Ltd. installed a new Plant (not a qualifying asset), at its production facility, and incurred the following costs:

- Cost of the Plant (as per supplier's invoice): ₹ 30,00,000
- Initial delivery and handling costs: ₹ 1,00,000
- Cost of site preparation: ₹ 2,00,000
- Consultant fee for advice on acquisition of Plant: ₹ 50,000
- Interest charges paid to supplier against deferred credit: ₹ 1,00,000
- Estimate of Dismantling and Site Restoration costs: ₹ 50,000 after 10 years (Present Value is ₹ 30,000)
- Operating losses before commercial production: ₹ 40,000

The company identified motors installed in the Plant as a separate component and a cost of ₹ 5,00,000 (Purchase Price) and other costs were allocated to them proportionately. The company estimates the useful life of the Plant and those of the Motors as 10 years and 6 years respectively and SLM method of Depreciation is used.

At the end of Year 4, the company replaces the Motors installed in the Plant at a cost of ₹ 6,00,000 and estimated the useful life of new motors to be 5 years. Also, the company revalued its entire class of Fixed Assets at the end of Year 4. The revalued amount of Plant as a whole is ₹ 25,00,000. At the end of Year 8, the company decides to retire the Plant from active use and also disposed the Plant as a whole for ₹ 6,00,000.

There is no change in the Dismantling and Site Restoration liability during the period of use. You are required to explain how the above transaction would be accounted in accordance with AS 10.

Answer

1. Cost at Initial Recognition:

Particulars	**₹**
Cost of the Plant (as per Invoice)	30,00,000
Initial Delivery and Handling Costs	1,00,000
Cost of Site Preparation	2,00,000
Consultants' Fees	50,000
Estimated Dismantling and Site Restoration Costs	30,000
Total Cost of Plant including Motors	33,80,000
Less: Cost of Motors identified as a separate component (1/6)*	5,63,333
Cost of the Plant (excluding Motors – balance 5/6)	**28,16,667**

*Purchase price of Motors = ₹ 5,00,000 out of ₹ 30,00,000 i.e., 1/6 of value of Plant

Note: Since the asset is not a qualifying asset, payment of interest to the supplier is not capitalized. Further, operating losses of ₹ 40,000 incurred before commercial production is not a directly attributable cost, and hence excluded from cost of asset. These costs are expensed to the P/L as and when they are incurred.

2. Recognition of Motors Replacement

Particulars	**₹**
Cost of Motors determined above	5,63,333
Less: Depreciation for 4 years (as per SLM) 5,63,333 ÷ 6 years x 4 years	3,75,555
Carrying Amount of Motors at the end of Year 4	**1,87,778**

Accounting: The company should derecognize the existing Carrying Amount of Motors replaced of ₹ 1,87,778. Further, the acquisition cost of new motors of ₹ 6,00,000 would be capitalized as a separate component. This amount will be depreciated over next 5 years at ₹ 6,00,000 ÷ 5 years = ₹ 1,20,000 p.a.

3. Revaluation

Particulars	**₹**
Cost of the Plant at initial recognition [from (1) above]	28,16,667
SLM Depreciation for 4 years: ₹ 28,16,667 ÷ 10 years x 4 years	11,26,667
Carrying Amount of Plant at the end of Year 4	16,90,000
Revalued Amount of Plant (Excluding Motors, since the same is treated as a separate component: ₹ 25,00,000 – ₹ 6,00,000)	19,00,000
Therefore, Gain on Revaluation credited to Revaluation Reserve	2,10,000
Revised Depreciation Charge p.a.: 19,00,000 ÷ 6 years	**3,16,667**

4. Derecognition

Particulars	**Motors**	**Plant (excl. Motors)**
Cost/Revalued Amount at end of Year 4	6,00,000	19,00,000
Less: Depreciation for Year 5 to Year 8	1,20,000	12,66,668
	(4,80,000 x 4)	(3,16,667 x 4)
Carrying Amount before Disposal/De-recognition	1,20,000	6,33,332
Less: Disposal Proceeds ₹ 6,00,000 allocated in ratio of carrying amount	(95,575)	(5,04,425)
Loss to be written off to P/L	**24,425**	**1,28,907**

Notes:

(a) The Revaluation Surplus of ₹ 2,10,000 would be transferred directly to Retained Earnings.

(b) The allocation of disposal proceeds of ₹ 6,00,000 for the plant as whole is apportioned based on carrying amount of motors and plant (excluding motors)

(c) Alternatively, it may be apportioned as 1/6 towards motors and 5/6 plant (excluding motors) based on the reasoning that the initially, motors amounted to 1/6 of the entire plant. This approach may not be preferable because there has been a revaluation of the plant (excluding motors) and a disposal and subsequent acquisition of the Motor, which is not in the initial proportion of 5/6 and 1/6 respectively.

CHAPTER - 11
AS 11: The Effects of Changes in Foreign Exchange Rates

Accounting of Foreign Currency Transactions

Question 1

	Exchange Rate per $
Goods purchased on 1.1.20X1 for US $ 15,000	₹ 75
Exchange rate on 31.3.20X1	₹ 74
Date of actual payment 7.7.20X1	₹ 73

You are required to ascertain the loss/gain to be recognized for financial years ended 31st March, 20X1 and 31st March, 20X2 as per AS 11.

Answer

As per **AS 11** on 'The Effects of Changes in Foreign Exchange Rates', all foreign currency **transactions** should be **recorded** by applying the **exchange rate on the date of transactions**. Thus, goods purchased on 1.1.20X1 and corresponding creditors would be recorded at **₹ 11,25,000** (i.e. $ 15,000 x ₹ 75)

According to the standard, at the **balance sheet date** all **monetary transactions** should be reported using the **closing rate**. Thus, creditors of US $ 15,000 on 31.3.20X1 will be reported at **₹ 11,10,000** (i.e. $ 15,000 x ₹ 74) and **exchange profit of ₹ 15,000** (i.e. 11,25,000 – 11,10,000) should be **credited to Profit and Loss account** in the year ended 31st March, 20X1.

On **7.7.20X1,** creditors of $ 15,000 is paid at the rate of ₹ 73. As per AS 11, exchange difference on settlement of the account should also be transferred to Profit and Loss account. Therefore, **₹ 15,000** (i.e. 11,10,000 – 10,95,000) will be **credited to Profit and Loss account** in the year ended 31st March, 20X2.

Question 2

A company had imported raw materials worth US Dollars 6,00,000 on 5th January, 20X1, when the exchange rate was ₹ 43 per US Dollar. The company had recorded the transaction in the books at the above-mentioned rate. The payment for the import transaction was made on 5th April, 20X1 when the exchange rate was ₹ 47 per US Dollar. However, on 31st March, 20X1, the rate of exchange was ₹ 48 per US Dollar. The company passed an entry on 31st March, 20X1 adjusting the cost of raw materials consumed for the difference between ₹ 47 and ₹ 43 per US Dollar.

In the background of the relevant accounting standard, is the company's accounting treatment correct? Discuss.

Answer

As per **AS 11** (revised 2003), 'The Effects of Changes in Foreign Exchange Rates', **monetary items** denominated in a foreign currency should be **reported using the closing rate at each balance sheet date**. The effect of **exchange difference** should be taken into **profit and loss account**. Trade payables is a monetary item, hence should be valued at the closing rate i.e., ₹ 48 at 31st March, 20X1 irrespective of the payment for the same subsequently at lower rate in the next financial year. **The difference of ₹ 5** (₹ 48 – ₹ 43) per US dollar should be shown as an **exchange loss in the profit and loss account** for the year ended 31st March, 20X1 and is **not to be adjusted against the cost of raw materials**. In the **subsequent year**, the

company would **record an exchange gain of ₹ 1** per US dollar, i.e., the difference between ₹ 48 and ₹ 47 per US dollar. Hence, the **accounting treatment adopted by the company is incorrect.**

Question 3

Trade payables of CAT Ltd. include amount payable to JBB Ltd., ₹ 10,00,000 recorded at the prevailing exchange rate on the date of transaction, transaction recorded at US $1 = ₹ 80.00. The exchange rate on balance sheet date (31.03.20X1) was US $1 = ₹ 85.00. You are required to calculate the amount of exchange difference and also explain the accounting treatment needed for this as per AS 11 in the books of CAT Ltd.

Answer

Amount of Exchange difference and its Accounting Treatment

	Exchange rate	₹
Trade payables		
Initial recognition US $ 12,500 (₹ 10,00,000/80)	1 US $ = ₹ 80	10,00,000
Rate on Balance sheet date	1 US $ = ₹ 85	
Exchange Difference loss US $ 12,500 x ₹ (85 – 80)		62,500
Treatment: Debit Profit and Loss A/c by ₹ 62,500 and Credit Trade Payables		

Thus, Exchange Difference on trade payables amounting ₹ 62,500 is required to be transferred to Profit and Loss.

Question 4

Kalim Ltd. borrowed US$ 4,50,000 on 01.01.20X1, which will be repaid as on 31.07.20X1. Kalim Ltd. prepares financial statement ending on 31.03.20X1. Rate of exchange between reporting currency (INR) and foreign currency (USD) on different dates are as under:

01.01.20X1, 1 US$ = ₹ 48.00

31.03.20X1, 1 US$ = ₹ 49.00

31.07.20X1, 1 US$ = ₹ 49.50

Pass journal entries on respective dates.

Answer

Journal Entries in the Books of Kalim Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Jan. 01	Bank Account (4,50,000 x 48)	Dr.	2,16,00,000	
	To Foreign Loan Account			2,16,00,000
	(Being liability of loan recognized)			
March 31	Foreign Exchange Difference (P/L) Account	Dr.	4,50,000	
	To Foreign Loan Account [4,50,000 x (49 – 48)]			4,50,000
	(Being liability disclosed at closing rate)			

July 31	Foreign Exchange Diff. (P/L) A/c [4,50,000 x (49.5 – 49)]	Dr.	2,25,000	
	Foreign Loan Account	Dr.	220,50,000	
	To Bank Account			2,22,75,000
	(Being loan liability repaid)			

Question 5

Karna Ltd., an Indian Company, has the following foreign currency transactions during the financial year 20X1-X2:

(i) On 1st July, 20X1, imported goods from Try Ltd., a German based company, amounting to ₹ 30,96,000.

(ii) On 1st October, 20X1, imported plant and machinery from Lucy Ltd., a German based company, for € 18,500. The amount was paid on the date of import itself. (Ignore depreciation).

(iii) On 1st December, 20X1, exported good on credit to Cream Ltd., a German based company, amounting to ₹ 50,40,000.

All the above transactions were recorded in the books of account at the prevailing exchange rate on the date of the transactions. Ignore taxes and duty on the above transactions.

Payment due from Cream Ltd. and payment due to Try Ltd. is outstanding as on 31st March, 20X2.

Rate of exchange between reporting currency (₹) and foreign currency (€) on different dates are as under:

On 1st July, 20X1 1 € = ₹ 86

On 1st October, 20X1 1 € = ₹ 88

On 1st December, 20X1 1 € = ₹ 84

On 31st March, 20X2, 1€ = ₹ 90 You are required, as per AS-11:

(i) To show value at which above items will appear in Balance sheet as on 31st March, 20X2;

(ii) To calculate the amount of gain/loss on each of above transactions on account of exchange differences, if any.

Answer

As per **AS 11** "The Effects of Changes in Foreign Exchange Rates", Foreign currency monetary items should be reported using closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency should be reported using the exchange rate at the date of the transaction. Exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or as expenses in the period in which they arise.

(i) Items given in the question will appear in the Balance Sheet at the following values:

Trade Payables [(30,96,000/86 = 36,000 German Currency) x ₹ 90] = ₹ 32,40,000

Plant and Machinery [18,500 German Currency x ₹ 88] = ₹16,28,000

Trade Receivables [(50,40,000/84 = 60,000 German Currency) x ₹ 90] = ₹ 54,00,000

(ii) Amount of gain/loss on each transaction on account of exchange difference:

Exchange loss on import of good from Try Ltd. [36,000 German Currency x ₹ 4 (90 – 86)] = ₹ (1,44,000)

Exchange gain on export of goods to Cream Ltd. [60,000 German Currency x ₹ 6 (90 – 84)] = ₹ 3,60,000

Question 6

Explain briefly the accounting treatment needed in the following cases as per AS 11 as on 31.3.20X1.

Trade receivables include amount receivable from Umesh ₹ 5,00,000 recorded at the prevailing exchange rate on the date of sales, transaction recorded at US $ 1= ₹58.50.

Long term loan taken from a U.S. Company, amounting to ₹ 60,00,000. It was recorded at US $ 1 = ₹ 55.60, taking exchange rate prevailing at the date of transaction. US $ 1 = ₹61.20 was on 31.3. 20X1.

Answer

As per AS 11 "The Effects of Changes in Foreign Exchange Rates", exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or as expenses in the period in which they arise.

However, at the option of an entity, exchange differences arising on reporting of long-term foreign currency monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, in so far as they relate to the acquisition of a depreciable capital asset can be added to or deducted from the cost of the asset and should be depreciated over the balance life of the asset, and in other cases, can be accumulated in a "Foreign Currency Monetary Item Translation Difference Account" in the enterprise's financial statements and amortised over the balance period of such long-term asset/liability, by recognition as income or expense in each of such periods.

Particular	Exchange Rate	₹
Trade receivables		
Initial recognition = US $ 8,547 (5,00,000/58.50)	1 US $ = ₹ 58.50	5,00,000
Rate on Balance sheet date	1 US $ = ₹ 61.20	
Exchange Difference Gain = US $ 8,547 x (61.20 – 58.50)		23,077
Treatment: Credit Profit and Loss A/c by ₹ 23,077		
Long term Loan		
Initial recognition = US $ 1,07,913.67 (60,00,000/55.60)	1 US $ = ₹ 55.60	60,00,000
Rate on Balance sheet date	1 US $ = ₹ 61.20	
Exchange Difference Loss = US $ 1,07,913.67 x (61.20 – 55.60)		6,04,317
Treatment: Credit Loan A/c and Debit FCMITD A/C or Profit and Loss A/c by ₹ 6,04,317		

Note: Thus, Exchange Difference on Long term loan amounting ₹ 6,04,317 may either be charged to Profit and Loss A/c or to Foreign Currency Monetary Item Translation Difference Account but exchange difference on debtors amounting ₹ 23,077 is required to be transferred to Profit and Loss A/c.

Question 7

A Ltd. purchased fixed assets costing ₹ 3,000 lakhs on 1.1.20X1 and the same was fully financed by foreign currency loan (U.S. Dollars) payable in three annual equal instalments. Exchange rates were 1 Dollar = ₹ 40.00 and ₹ 42.50 as on 1.1.20X1 and 31.12.20X1 respectively. First installment was paid on 31.12.20X1. The entire difference in foreign exchange has been capitalised.

You are required to state, how these transactions would be accounted for if the company has not exercised

the option of capitalisation available under paragraph 46A of AS 11.

Answer

As per **AS 11** 'The Effects of Changes in Foreign Exchange Rates', exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or expenses in the period in which they arise. Thus, exchange differences arising on repayment of liabilities incurred for the purpose of acquiring fixed assets are recognised as income or expense.

Calculation of Exchange Difference:

Foreign currency loan = ₹ 3,000 lakhs/₹ 40 = 75 lakhs US Dollars

Exchange difference = 75 lakhs US Dollars x (42.50 – 40.00) = **₹ 187.50 lakhs** (including exchange loss on payment of first instalment)

Therefore, entire loss due to exchange differences amounting ₹ 187.50 lakhs should be charged to **profit and loss account** for the year.

Question 8

Alfa Ltd. purchased an item of property, plant and equipment for US $ 50 lakh on 01.04.20X1 and the same was fully financed by the foreign currency loan [i.e. US $] repayment in five equal instalments annually. (Exchange rate at the time of purchase was 1 US $ = ₹ 60]. As on 31.03.20X2 the first instalment was paid when 1 US $ fetched ₹ 62.00. The entire loss on exchange was included in cost of goods sold. Alfa Ltd. normally provides depreciation on an item of property, plant and equipment at 20% on WDV basis and exercised the option to adjust the cost of asset for exchange difference arising out of loan restatement and payment. Calculate the amount of exchange loss and its treatment and depreciation.

Answer

Exchange differences arising on restatement or repayment of liabilities incurred for the purpose of acquiring an item of property, plant and equipment should be adjusted in the carrying amount of the respective item of property, plant and equipment as Alfa Ltd. has exercised the option and it is long term foreign currency monetary item.

Thus, the entire exchange loss due to variation of ₹ 20 lakh on 31.03.20X1 on payment of US $ 10 lakh, should be added to the carrying amount of an item of property, plant and equipment and not to the cost of goods sold. Further, depreciation on the unamortized depreciable amount should also be provided.

Calculation of Exchange loss:

Foreign currency loan (in ₹) = (50 lakh $ x ₹ 60) = ₹ 3,000 lakh

Exchange loss on outstanding loan on 31.03.20X2 = ₹ 40 lakh US $ x (62.00 – 60.00) **= ₹ 80 lakh**

So, ₹ 80 lakh should also be **added to cost of an item of property, plant and equipment** with corresponding credit to outstanding loan in addition to ₹ 20 lakh on account of exchange loss on payment of instalment. The total cost of an item of property, plant and equipment to be increased by ₹ 100 lakh.

Total depreciation to be provided **for year 20X1 – 20X2** = 20% of (₹ 3,000 lakh + 100 lakh) = **₹ 620 lakh**

Question 9

A Ltd. has borrowed USD 10,000 in foreign currency on April 1, 20X1 at 5% p.a. annual interest and acquired a depreciable asset. The exchange rates are as under:

01/04/20X1 1 US$ = ₹ 48.00

31/03/20X2 1 US$ = ₹ 51.00

You are required to pass the journal entries in the following cases:

(i) Option under Para 46A is not availed.

(ii) Option under Para 46A is availed.

(iii) The loan was taken to finance the operations of the entity (and not to procure a depreciable asset).

In all cases, assume interest accrued on 31st March 20X2 is paid on the same date.

Answer

Journal Entries in the Books of A Ltd.

(i) Option under Para 46A is not availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference (P/L) Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000

Note: In this case, since the option under Para 46A is not availed, the Exchange Loss of ₹ 30,000 is recognised as an expense in the Statement of Profit and Loss for the year ending 31st March 20X2.

(ii) Option under Para 46A is availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000
	Property, Plant and Equipment	Dr.	30,000	
	To Foreign Exchange Difference Account			30,000

Note: In this case, since the option under Para 46A is availed, the Exchange Loss of ₹ 30,000 is capitalized in the cost of Property, Plant and Equipment, which will indirectly get recognized in the

Profit & Loss A/c by way of increased depreciation over the remaining useful life of the asset.

(iii) Option under Para 46A is availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000
	FCMITDA A/c	Dr.	30,000	
	To Foreign Exchange Difference Account			30,000

Note: In this case, since the option under Para 46A is availed, the Exchange Loss of ₹ 30,000 is accumulated in the FCMITD A/c, which will be subsequently spread over and debited to P&L A/c over the tenure of the loan.

Question 10

Legal Ltd. is engaged in the manufacturing of rubber. For its plant, it required machineries of latest technology. It usually resorts to Long Term Foreign Currency Borrowings for its fund requirements. On 1st April, 20X1, it borrowed US $ 1 million from International Funding Agency, USA when exchange rate was 1 $ = ₹ 63. The funds were used for acquiring machineries, on the same date, to be used in three different plants. The useful life of the machineries is 10 years and their residual value is ₹ 30,00,000.

Earlier also the company used to purchase machineries out of foreign borrowings. The exchange differences arising on such borrowings were charged to profit and loss account and were not capitalized even though the company had an option to capitalize it as per notified AS 11.

Now for this new purchase of machinery, Legal Ltd, is interested to avail the option of capitalizing the same to the cost of asset. Exchange rate on 31st March, 20X2 is 1 US $ = ₹ 62. Assume that on 31st March, 20X2, Legal Ltd. is not having any old long term foreign currency borrowings except for the amount borrowed for machinery purchased on 1st April, 20X1.

Comment whether Legal Ltd. can capitalize the exchange difference to the cost of asset on 31st March, 20X2. If yes, then calculate the depreciation amount on machineries as on 31st March, 20X2.

Answer

As per paragraph 46A of AS 11, 'The Effects of Changes in Foreign Exchange Rates', in respect of accounting periods commencing on or after 1st April, 2011, for an enterprise which had earlier exercised the option under paragraph 46 or not (such option to be irrevocable and to be applied to all such foreign currency monetary items), the exchange differences arising on reporting of long term foreign currency monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, in so far as they relate to the acquisition of a depreciable capital asset, can be added to or deducted from the cost of the asset and shall be depreciated over the balance life of the asset.

Accordingly, though Legal Ltd. had not earlier exercised the option, yet it can avail the option to capitalize the exchange difference to the cost of machinery by virtue of para 46A of AS 11. Further, since Legal Ltd. has no earlier long-term foreign currency borrowings, it is not required to apply capitalization option to earlier borrowing also.

Exchange difference to be capitalized and depreciation amount

	₹
Cost of the asset in $	1 million
Exchange rate on 1st April, 20X1	₹ 63 = 1$
Cost of the asset in ₹ (1 million x ₹ 63)	63 million
Less: Exchange difference on 31st March, 20X2 [(63 – 62) x $ 1 million] (Gain)	(1 million)
	62 million
Less: Depreciation for 20X1-20X2 [(62 million – 3 million)/10 years]	(5.90 million)
	56.10 million

Accounting of Forward Contracts

Question 11

Rau Ltd. purchased a plant for US$ 1,00,000 on 01st February 20X1, payable after three months. Company entered into a forward contract for three months @ ₹ 49.15 per dollar. Exchange rate per dollar on 01st Feb. was ₹ 48.85. How will you recognise the profit or loss on forward contract in the books of Rau Ltd.?

Answer

In recording a forward exchange contract intended for trading or speculation purposes, the premium or discount on the contract is ignored and at each balance sheet date, the value of the contract is marked to its current market value and the gain or loss on the contract is recognised.

Forward Rate	₹ 49.15
Less: Spot Rate	(₹ 48.85)
Premium on Contract	**₹ 0.30**
Contract Amount	US$ 1,00,000
Total Loss (1,00,000 x 0.30)	**₹ 30,000**

Contract period 3 months (2 months falling in the year ended 31st March, 20X1)

So, Loss to be recognised (30,000/3) x 2 = ₹ 20,000 in the year ended 31st March, 20X1. Rest ₹ 10,000 will be recognised in the following year.

Question 12

AXE Limited purchased fixed assets costing $ 5,00,000 on 1st Jan. 20X2 from an American company M/s M&M Limited. The amount was payable after 6 months. The company entered into a forward contract on 1st January 20X2 for five months @ ₹ 62.50 per dollar. The exchange rate per dollar was as follows:

On 1st January, 20X2 ₹ 60.75 per dollar

On 31st March, 20X2 ₹ 63.00 per dollar

Answer

As per **AS 11** "The Effects of Changes in Foreign Exchange Rates", an enterprise may enter into a forward exchange contract to establish the amount of the reporting currency required, the premium or discount arising at the inception of such a forward exchange contract should be amortized as expenses or income over the life of the contract.

Forward Rate	₹ 62.50
Less: Spot Rate	(₹ 60.75)
Premium on Contract	**₹ 1.75**
Contract Amount	US$ 5,00,000
Total Loss (5,00,000 x 1.75)	**₹ 8,75,000**

Out of total contract period 5 months **3 months falling in the year 20X1-X2; therefore, loss to be recognized in 20X1-X2 (8,75,000/5) x 3 = ₹ 5,25,000. Rest ₹ 3,50,000 will be recognized in the following year 20X2-X3.**

Question 13

Mr. A bought a forward contract for three months of US$ 1,00,000 on 1st December at 1 US$ = ₹ 47.10 when exchange rate was US$ 1 = ₹ 47.02. On 31st December when he closed his books exchange rate was US$ 1 = ₹ 47.15. On 31st January, he decided to sell the contract at ₹ 47.18 per dollar. Show how the profits from contract will be recognised in the books.

Answer

Since the forward contract was **for speculation purpose** the premium on contract i.e. the **difference between the spot rate and contract rate will not be recorded** in the books. Only **when the contract is sold the difference between the contract rate and sale rate will be recorded in the Profit & Loss Account.**

Sale Rate	₹ 47.18
Less: Contract Rate	(₹ 47.10)
Premium on Contract	**₹ 0.08**
Contract Amount	US$ 1,00,000
Total Profit (1,00,000 x 0.08)	**₹ 8,000**

Early Payment or Late Payment Decision

Question 14

Trower Limited is an Indian importer. It imports goods from True View Limited situated at London. Trower Limited has a payable of £ 50,000 to True View Limited as on 31st March, 20X1. True View Limited has given Trower Limited the following two options:

(i) Pay immediately with a cash discount of 1% on the payable.

(ii) Pay after 6 months with interest @ 5% p.a. on the payable.

The borrowing rate for Trower Limited in rupees is 15% p.a.

The following are the exchange rates:

Date	₹/£
31st March, 20X1	97
30th September, 20X1	99

You are required to give your opinion to Trower Limited on which of the above two options to be chosen.

Answer

Option (i) Pay immediately with Cash discount of 1% on the payable

Total amount payable on 31.3.20X1	£ 50,000
Less: Cash discount (50,000 x 1/100)	£ (500)
	£ 49,500
In ₹ (£ 49,500 x ₹ 97)	₹ 48,01,500
Add: Borrowing cost @ 15% p.a. for 6 months	₹ 3,60,112.50
If payment made immediate	**₹ 51,61,612.50**

Option (ii) Pay after 6 months with interest @ 5% p.a. on the payable

Total amount payable on 31.3.20X1	£ 50,000
Interest for 6 months @ 5% (50,000 x 5/100 x 6/12)	£ 1,250
	£ 51,250
If payment made after 6 months (£ 51,250 x 99)	**₹ 50,73,750**

Thus, **Option (ii) is beneficial** to Trower Limited as the **Rupee outflow will be lower by** ₹ (51,61,612 – 50,73,750) = **₹ 87,862** in option (ii).

CHAPTER - 12
AS 12: Accounting for Government Grants

Government Grant Related to Specific PPE

Question 1

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset government granted it a grant for ₹ 10 lakhs. Pass the necessary journal entries in the books of the company for first two years if the grant amount is deducted from the value of fixed asset.

Answer

Journal Entries in the Books of Z Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	50,00,000	
	To Bank Account			50,00,000
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	10,00,000	
	To Fixed Assets Account			10,00,000
	(Being grant received from the government)			
	Depreciation Account	Dr.	7,00,000	
	To Fixed Assets Account			7,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	7,00,000	
	To Depreciation Account			7,00,000
	(Being Depreciation transferred to P&L Account)			
Year 2	Depreciation Account	Dr.	7,00,000	
	To Fixed Assets Account			7,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	7,00,000	
	To Depreciation Account			7,00,000
	(Being Depreciation transferred to P&L Account)			

Question 2

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset, government granted it a grant for ₹ 10 lakhs (This amount was reduced from the cost of fixed asset). Grant was considered as refundable in the end of 2nd year to the extent of ₹ 7,00,000. Pass the journal entry for refund of the grant.

Answer

Date	Particulars	Debit (₹)	Credit (₹)

Year 2	Fixed Assets Account	Dr.	7,00,000	
	To Bank Account			7,00,000
	(Being government grant on asset refunded)			

Question 3

A fixed asset is purchased for ₹ 20 lakhs. Government grant received towards it is ₹ 8 lakhs. Residual Value is ₹ 4 lakhs and useful life is 4 years. Assume depreciation on the basis of Straight-Line method. Asset is shown in the balance sheet net of grant. After 1 year, grant becomes refundable to the extent of ₹ 5 lakhs due to non-compliance with certain conditions. Pass journal entries for first two years.

Answer

Journal Entries **(₹) in lakhs**

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	20	
	To Bank Account			20
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	8	
	To Fixed Assets Account			8
	(Being grant received from the government)			
	Depreciation Account	Dr.	2	
	To Fixed Assets Account			2
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	2	
	To Depreciation Account			2
	(Being Depreciation transferred to P&L Account)			
Year 2	Fixed Assets Account	Dr.	5	
	To Bank Account			5
	(Being government grant on asset partly refunded which increased the cost of fixed asset)			
	Depreciation Account	Dr.	3.67	
	To Fixed Assets Account			3.67
	(Being depreciation charged on SLM on revised value of fixed asset prospectively)			
	Profit & Loss Account	Dr.	3.67	
	To Depreciation Account			3.67
	(Being Depreciation transferred to P&L Account)			

Working Notes:

1. Depreciation for Year 1

	₹ in lakhs
Cost of the Asset	20

Less: Government grant received	(8)
	12
Depreciation [(12 – 4)/4]	2

2. Depreciation for Year 2

	₹ in lakhs
Cost of the Asset	20
Less: Government grant received	(8)
	12
Less: Depreciation for the first year [(12 – 4)/4]	2
	10
Add: Government grant refundable	5
	15
Depreciation for the second year [(15 – 4)/3]	3.67

Question 4

On 1.4.20X1, ABC Ltd. received Government grant of ₹ 300 lakhs for acquisition of machinery costing ₹ 1,500 lakhs. The grant was credited to the cost of the asset. The life of the machinery is 5 years. The machinery is depreciated at 20% on WDV basis. The Company had to refund the grant in May 20X4 due to non-fulfillment of certain conditions.

How you would deal with the refund of grant in the books of ABC Ltd. assuming that the company did not charge any depreciation for year 20X4?

Answer

According to para 21 of AS 12 on Accounting for Government Grants, the amount refundable in respect of a grant related to a specific fixed asset should be recorded by increasing the book value of the asset or by reducing deferred income balance, as appropriate, by the amount refundable. Where the book value is increased, depreciation on the revised book value should be provided prospectively over the residual useful life of the asset.

		(₹ in lakhs)
1st April, 20X1	Acquisition cost of machinery (₹ 1,500 – ₹ 300)	1,200.00
31st March, 20X2	Less: Depreciation @ 20%	(240.00)
	Book value	960.00
31st March, 20X3	Less: Depreciation @ 20%	(192.00)
	Book value	768.00
31st March, 20X4	Less: Depreciation @ 20%	(153.60)
1st April, 20X4	Book value	614.40
May, 20X4	Add: Refund of grant	300.00
	Revised book value	**914.40**

Depreciation @ 20% on the revised book value amounting ₹ 914.40 lakhs is to be provided prospectively over the residual useful life of the asset.

Question 5

Hygiene Ltd. had received a grant of ₹ 50 lakh in 20X1 from a State Government towards installation of pollution control machinery on fulfilment of certain conditions. The company, however, failed to comply with the said conditions and consequently was required to refund the said amount in 20X5. The company debited the said amount to its machinery account in 20X5 on payment of the same. It also reworked the depreciation for the said machinery from the date of its purchase and passed necessary adjusting entries in the year 20X5 to incorporate the retrospective impact of the same. State whether the treatment done by the company is correct or not.

Answer

As per the facts of the case, Hygiene Ltd. had received a grant of ₹ 50 lakh in 20X1 from a State Government towards installation of pollution control machinery on fulfilment of certain conditions. However, the amount of grant has to be refunded since it failed to comply with the prescribed conditions. In such circumstances, **AS 12,** "Accounting for Government Grants", requires that the **amount refundable in** respect of a government **grant** related to a specific fixed asset is recorded by increasing the book value of the asset or by reducing the capital reserve or the deferred income balance, as appropriate, by the amount refundable. The Standard further makes it clear that in the first alternative, i.e., where the **book value of the asset is increased**, **depreciation on the revised book value should be provided prospectively** over the residual useful life of the asset. Accordingly, the accounting treatment given by Hygiene Ltd. of increasing the value of the plant and machinery is quite proper. However, the accounting treatment in respect of depreciation given by the company of **adjustment of depreciation with retrospective effect is improper and constitutes violation of AS 12.**

Question 6

D Ltd. acquired a machine on 1.4.20X1 for ₹ 20,00,000. The useful life is 5 years. The company had applied on 1.4.20X1, for a subsidy to the tune of 80% of the cost. The sanction letter for subsidy was received in November 20X4. The Company's Fixed Assets Account for the financial year 20X4-X5 shows a credit balance as under:

Particulars	**₹**
Machine (Original Cost)	20,00,000
Accumulated Depreciation (from 20X1-X2 to 20X3-X4 on Straight Line Method)	12,00,000
	8,00,000
Less: Grant received	(16,00,000)
Balance	(8,00,000)

You are required to explain how should the company deal with this asset in its accounts for 20X4-X5?

Answer

From the above account, it is inferred that the Company has deducted grant from the book value of asset for accounting of Government Grants. Accordingly, out of the ₹ 16,00,000 that has been received, **₹ 8,00,000** (being the balance in Machinery A/c) **should be credited to the machinery A/c**.

The **balance ₹ 8,00,000 may be credited to P&L A/c**, since already the cost of the asset to the tune of ₹ 12,00,000 had been debited to P&L A/c in the earlier years by way of depreciation charge, and ₹ 8,00,000 transferred to P&L A/c now would be partial recovery of that cost.

There is no need to provide depreciation for 20X4-X5 or 20X5-X6 as the **depreciable amount is now Nil**.

Question 7

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset, government granted it a grant for ₹ 10 lakhs. Pass the necessary journal entries in the books of the company for first two years if the grant is treated as deferred income.

Answer

Journal Entries in the Books of Z Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	50,00,000	
	To Bank Account			50,00,000
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	10,00,000	
	To Deferred Government Grant Account			10,00,000
	(Being grant received from the government)			
	Depreciation Account	Dr.	9,00,000	
	To Fixed Assets Account			9,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	9,00,000	
	To Depreciation Account			9,00,000
	(Being Depreciation transferred to P&L Account)			
	Deferred Government Grants Account	Dr.	2,00,000	
	To Profit & Loss Account			2,00,000
	(Being proportionate government grant taken to P/L)			
Year 2	Depreciation Account	Dr.	9,00,000	
	To Fixed Assets Account			9,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	9,00,000	
	To Depreciation Account			9,00,000
	(Being Depreciation transferred to P&L Account)			
	Deferred Government Grants Account	Dr.	2,00,000	
	To Profit & Loss Account			2,00,000
	(Being proportionate government grant taken to P/L)			

Question 8

Darshan Ltd. purchased a Machinery on 1st April, 20X1 for ₹ 130 lakhs (Useful life is 4 Years). Government grant received is ₹ 40 lakhs for the purchase of above Machinery.

Salvage value at the end of useful life is estimated at ₹ 60 lakhs. Darshan Ltd. decides to treat the grant as deferred income.

You are required to calculate the amount of depreciation and grant to be recognized in profit & loss account for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5.

Darshan Ltd. follows straight line method for charging depreciation.

Answer

As per **AS 12** "Accounting for government grants", grants **related to depreciable assets**, if treated as deferred income are recognized in the profit and loss statement on a systematic and rational basis over the useful life of the asset. Amount of depreciation and grant to be recognized in the profit and loss account each year.

Calculation of Depreciation per year:

	₹ in lakhs
Cost of the Asset	130
Less: Salvage value	(60)
	70
Depreciation per year (70lakhs/4)	17.50

₹ 17.50 Lakhs depreciation will be recognized for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5

Amount of grant recognized in Profit and Loss account each year:

40 lakhs /4 years = ₹ 10 Lakhs for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5

Question 9

A Ltd. purchased a machinery for ₹ 40 lakhs. (Useful life 4 years and residual value ₹ 8 lakhs) Government grant received is ₹ 16 lakhs.

Show the Journal Entry to be passed at the time of refund of grant in the beginning of the third year and the value of the fixed assets, if:

(1) the grant is credited to Fixed Assets A/c.

(2) the grant is credited to Deferred Grant A/c.

Answer

(1) If the grant is credited to Fixed Assets Account:

Particulars		**Debit (₹)**	**Credit (₹)**
Fixed Assets Account	Dr.	16 lakhs	
To Bank Account			16 lakhs
(Being government grant on asset refunded)			

The **balance of fixed assets** after two years depreciation will be ₹ 16 lakhs (W.N.1) and **after refund** of grant it will become (₹ 16 lakhs + ₹ 16 lakhs) **= ₹ 32 lakhs** on which depreciation will be charged for remaining two years. **Depreciation** = (32 – 8)/2 = **₹ 12 lakhs p.a. will be charged for next two years**.

(2) If the grant is credited to Deferred Grant Account:

As per para 14 of AS 12 'Accounting for Government Grants,' income from Deferred Grant Account is allocated to Profit & Loss account usually over the periods and in the proportions in which depreciation on related assets is charged. Accordingly, in the first two years (₹ 16 lakhs/4 years) = ₹ 4 lakhs p.a. x 2 years = ₹ 8 lakhs were credited to Profit and Loss Account and ₹ 8 lakhs was the balance of Deferred

Grant Account after two years.

Particulars		Debit (₹)	Credit (₹)
Deferred Grant Account	Dr.	8 lakhs	
Profit & Loss Account		8 lakhs	
To Bank Account			16 lakhs
(Being government grant on asset refunded)			

Deferred grant account will become Nil. The **fixed assets will continue** to be shown in the books **at ₹ 24 lakhs** (W.N.2) **and depreciation will continue to be charged at ₹ 8 lakhs per annum** for the remaining two years.

Working Notes:

1. Balance of Fixed Assets after two years but before refund (under first alternative)

Fixed assets initially recorded in the books = ₹ 40 lakhs – ₹ 16 lakhs = ₹ 24 lakhs

Depreciation p.a. = (₹ 24 lakhs – ₹ 8 lakhs)/4 years = ₹ 4 lakhs per year

Value of fixed assets after two years but before refund of grant = ₹ 24 lakh – (₹ 4 lakh x 2 yrs) = ₹ 16 lakhs

2. Balance of Fixed Assets after two years but before refund (under second alternative)

Fixed assets initially recorded in the books = ₹ 40 lakhs

Depreciation p.a. = (₹ 40 lakhs – ₹ 8 lakhs)/4 years = ₹ 8 lakhs per year

Book value of fixed assets after two years = ₹ 40 lakhs – (₹ 8 lakhs x 2 years) = ₹ 24 lakhs

Question 10

A specific government grant of ₹ 15 lakhs was received by USB Ltd. for acquiring Hi-Tech Diary plant of ₹ 95 lakhs during the year 20X1-X2. Plant has useful life of 10 years. The grant received was credited to deferred income in the balance sheet. At beginning of 20X4-X5, due to non-compliance of conditions laid down for the grant, the company had to refund the whole grant to the Government. Balance in the deferred income on that date was ₹ 10.50 lakhs and written down value of plant was ₹ 66.50 lakhs.

(i) What should be the treatment of the refund of the grant and the effect on cost of plant and the amount of depreciation to be charged during the year 20X4-X5 in profit and loss account?

(ii) What should be the treatment of the refund, if grant was deducted from cost of plant during 20X1-X2 assuming plant account showed the balance of ₹ 56 lakhs as on 1.4.20X4?

You are required to explain in the line with provisions of AS 12.

Answer

As per para 21 of **AS 12**, 'Accounting for Government Grants', "the amount refundable in respect of a grant related to specific fixed asset should be recorded by reducing the deferred income balance. To the extent the amount refundable exceeds any such deferred credit, the amount should be charged to profit and loss statement.

(i) In this case the grant refunded is ₹ 15 lakhs and balance in deferred income is ₹ 10.50 lakhs, **₹ 4.50 lakhs shall be charged to the profit and loss** account for the year 20X4-X5. There will be **no effect on the cost of the fixed asset** and depreciation charged will be on the same basis as charged in the earlier years.

(ii) If the grant was deducted from the cost of the plant in the year 20X1-X2 then, para 21 of AS 12 states that the amount refundable in respect of grant which relates to specific fixed assets should be recorded by increasing the book value of the assets, by the amount refundable. Where the book value of the asset is increased, depreciation on the revised book value should be provided prospectively over the residual useful life of the asset. Therefore, in this case, the **book value of the plant shall be increased by ₹ 15 lakhs**. The increased cost of ₹ 15 lakhs of the plant should be amortized over 7 years (residual life). **Depreciation charged during the year 20X4-X5 shall be** (56 + 15)/7 years = **₹ 10.14 lakhs** presuming the depreciation is charged on SLM.

Government Grant Related to Revenue

Question 11

X ltd. runs a charitable hospital. It incurs salary of doctors, staff etc. to the extent of ₹ 30 lakhs per annum. As a support, the local govt grants a lumpsum payment of ₹ 90 lakhs to meet the salary expense for a period of next 5 years.

You are required to pass the necessary journal entries in the books of the company for first year of the grant and present in the statement of profit & loss when the grant is:

(a) Shown separately as Other Income; and

(b) Deducted against the Salary costs.

Answer

(a) Shown separately as Other Income

Particulars		Debit (₹)	Credit (₹)
Bank Account	Dr.	90,00,000	
To Deferred Income Account			90,00,000
(Being receipt of grant from government)			
Salary Expense Account	Dr.	30,00,000	
To Bank Account			30,00,000
(Being Salary expense paid for the year)			
Deferred Income Account	Dr.	18,00,000	
To profit and loss Account			18,00,000
(Being Year 1 Grant income recognised in Profit & Loss)			
Profit and loss Account	Dr.	30,00,000	
To Salary Expense Account			30,00,000
(Being salary expense charged to Profit & Loss)			

Note: The grant has been spread on a straight-line basis over a period of 5 years [₹ 90,00,000/5 years = ₹ 18,00,000

Statement of Profit and Loss (Extract)

Particulars	Note No.	(₹)
Other income		18,00,000

(b) Shown as deduction from the salary costs

Particulars		Debit (₹)	Credit (₹)
Bank Account	Dr.	90,00,000	
To Deferred Income Account			90,00,000
(Being receipt of grant from government)			
Salary Expense Account	Dr.	30,00,000	
To Bank Account			30,00,000
(Being Salary expense paid for the year)			
Deferred Income Account	Dr.	18,00,000	
To Salary Expense Account			18,00,000
(Being Year 1 grant adjusted against Salary expense for the year)			
Profit and loss Account	Dr.	12,00,000	
To Salary Expense Account			12,00,000
(Being salary expense charged to Profit & Loss)			

Statement of Profit and Loss (Extract)

Particulars		Note No.	(₹)
Salary Cost	30,00,000		
Less: Deferred grant income	(18,00,000)		12,00,000

Question 12

Co X runs a charitable hospital. It incurs salary of doctors, staff etc. to the extent of ₹ 30 lakhs per annum. As a support, the local govt grants a lumpsum payment of ₹ 90 lakhs to meet the salary expense for a period of next 5 years.

At the start of Year 4, Co. X is unable to meet the conditions attached to the grant and is required to refund the entire grant of ₹ 90 lakhs.

You are required to pass the necessary journal entries in the books of the company for refund of the grant if the grant was shown separately as Other Income.

Answer

Particulars		Debit (₹)	Credit (₹)
Deferred Grant Account	Dr.	36 lakhs	
Profit & Loss Account	Dr.	54 lakhs	
To Bank Account			90 lakhs
(Being government grant on asset refunded)			

Workings:

Total grant received	₹ 90 Lakhs
Grant recognised as income for first 3 years: ₹ 18 lakhs x 3	₹ 54 lakhs
Remaining Deferred Income	₹ 36 lakhs

Question 13

Supriya Ltd. received a grant of ₹ 2,500 lakhs during the accounting year 20X1-20X2 from government for welfare activities to be carried on by the company for its employees. The grant prescribed conditions for its utilisation. However, during the year 20X2-20X3, it was found that the conditions of grants were not complied with and the grant had to be refunded to the government in full. Elucidate the current accounting treatment, with reference to the provisions of AS-12.

Answer

As per **AS 12** 'Accounting for Government Grants', Government grants sometimes become refundable because certain conditions are not fulfilled. A government grant that becomes refundable is treated as an extraordinary item as per AS 5.

The amount refundable in respect of a government **grant related to revenue** is applied first against any unamortised deferred credit remaining in respect of the grant. To the extent that the amount refundable exceeds any such deferred credit, or where no deferred credit exists, the amount is charged immediately to profit and loss statement.

In the present case, the amount of **refund** of government grant should be **first adjusted against the unamortised deferred income** in the books **and the excess if any** will be **debited to profit & loss account** of the company **as** an **extraordinary item in the year 20X2-20X3.**

Government Grant Related to Promoter's Contribution

Question 14

Top & Top Limited has set up its business in a designated backward area which entitles the company to receive from the Government of India a subsidy of 20% of the cost of investment, for which no repayment was ordinarily expected. Moreover, there was no condition that the company should purchase any specified assets for this subsidy. Having fulfilled all the conditions under the scheme, the company on its investment of ₹ 50 crore in capital assets received ₹ 10 crore from the Government in January, 20X2 (accounting period being 20X1-20X2). The company wants to treat this receipt as an item of revenue and thereby reduce the losses on profit and loss account for the year ended 31st March, 20X2.

Keeping in view the relevant Accounting Standard, discuss whether this action is justified or not.

Answer

As per para 10 of **AS 12** 'Accounting for Government Grants', where the government grants are of the nature of **promoters' contribution**, i.e. they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay (for example, central investment subsidy scheme) and no repayment is ordinarily expected in respect thereof, the grants are **treated as capital reserve** which can be neither distributed as dividend nor considered as deferred income.

In the given case, the subsidy received is neither in relation to specific fixed asset nor in relation to revenue. Thus, it is inappropriate to recognise government grants in the profit and loss statement, since they are not earned but represent an incentive provided by government without related costs. The correct treatment is to credit the subsidy to capital reserve. Therefore, the **accounting treatment** desired by company is **not proper.**

Mixed Topics

Question 15

On 1st April 20X1, Eleanor Limited purchased a manufacturing Plant for ₹ 60 lakhs, which has an estimated useful life of 10 years with a salvage value of ₹ 10 lakhs. On purchase of the Plant, a grant of ₹ 20 lakhs was received from the government.

You are required to calculate the amount of depreciation as per AS-12 for the financial year 20X2-X3 in the following cases:

(i) If the grant amount is deducted from the value of Plant.

(ii) If the grant is treated as deferred income.

(iii) If the grant amount is deducted from the value of Plant, but at the end of the year 20X2-X3 grant is refunded to the extent of ₹ 4 lakhs, due to non-compliance of certain conditions.

(iv) If the grant is treated as the promoter's contribution.

(Assume depreciation on the basis of Straight-Line Method.)

Answer

Calculation of depreciation as per AS 12 for the financial year 20X2-X3:

(i) If the grant amount is deducted from the value of Plant, then the amount of **deprecation will be ₹ 3,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000)/10 year.

(ii) If the grant is treated as deferred income, then amount of **depreciation will be ₹ 5,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000)/10 year.

(iii) If the grant amount is deducted from the value of plant, but at the end of the year 20X2-X3 grant is refunded to the extent of ₹ 4 lakh then the amount of **depreciation will be ₹ 3,00,000** (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000)/10 year **for year 20X1-X2 and for the year 20X2-X3** Depreciation will be ₹ 3,00,000 calculated as follows (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000 – ₹ 3,00,000)/10 years.

(iv) If the grant is treated as promoter's contribution, then the amount of **depreciation will be ₹ 5,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000)/10 year.

Question 16

Santosh Ltd. has received a grant of ₹8 crores from the Government for setting up a factory in a backward area. Out of this grant, the company distributed ₹ 2 crores as dividend. Also, Santosh Ltd. received land free of cost from the State Government but it has not recorded it at all in the books as no money has been spent. In the light of AS 12 examine, whether the treatment of both the grants is correct.

Answer

As per **AS 12** 'Accounting for Government Grants', when government grant is received for a **specific purpose**, it should be utilised for the same. So, the grant received for setting up a factory is **not available for distribution of dividend.**

In the **second case**, even if the company has not spent money for the acquisition of land, **land** should be recorded in the books of accounts **at a nominal value**. The treatment of both the elements of the grant is **incorrect as per AS 12.**

Question 17

How would you treat the following in the accounts in accordance with AS 12 'Government Grants'?

(i) ₹ 35 Lakhs received from the Local Authority for providing medical facilities to the employees.

(ii) ₹ 100 Lakhs received as Subsidy from the Central Government for setting up a unit in notified backward area. This subsidy is in nature of nature of promoters' contribution.

Answer

(i) ₹ 35 lakhs received from the local authority for providing medical facilities to the employees is a grant received in nature of **revenue grant.** Such grants are generally presented as a credit in the profit and loss statement, either separately or under a general heading such as '**Other Income**'. **Alternatively**, ₹ 35 lakhs may be **deducted in reporting the related expense** i.e. employee benefit expenses.

(ii) As per **AS 12** 'Accounting for Government Grants', where the government grants are in the **nature of promoters' contribution,** i.e. they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay and no repayment is ordinarily expected in respect thereof, the grants are treated as capital reserve which can be neither distributed as dividend nor considered as deferred income. In the given case, the subsidy received from the Central Government for setting up a unit in notified backward area is neither in relation to specific fixed asset nor in relation to revenue. Thus, amount of ₹ 100 lakhs should be **credited to capital reserve**.

Question 18

Alps Limited has received the following Grants from the Government during the year ended 31st March, 20X1:

(i) ₹ 120 Lakhs received as Subsidy from the Central Government for setting up an Industrial undertaking in Medak, a notified backward area.

(ii) ₹ 15 Lakhs Grant received from the Central Government on installation of Effluent Treatment Plant.

(iii) ₹ 25 Lakhs received from State Government for providing Medical facilities to its workmen during the pandemic.

Advise Alps Limited on the treatment of the above Grants in its books of Account in accordance with AS-12 "Government Grants".

Answer

(i) As per **AS 12** 'Accounting for Government Grants', where the government grants are in the **nature of promoters' contribution** i.e., they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay and no repayment is ordinarily expected in respect thereof, the grants are treated as capital reserve which can be neither distributed as dividend nor considered as deferred income. In the given case, the subsidy received from the Central Government for setting up an industrial undertaking in Medak is neither in relation to specific fixed asset nor in relation in revenue. Thus, the amount of ₹ 120 Lakhs should be **credited to capital reserve**. (Note: Subsidy for setting up an industrial undertaking is considered to be in the nature of promoter's contribution)

(ii) As per **AS 12** 'Accounting for Government Grants', two methods of presentation in financial statements of grants related to **specific fixed assets** are regarded as acceptable **alternatives-**

(a) The grant is shown as a **deduction from the gross value of the asset** concerned in arriving at its book value. The grant is thus recognised in the profit and loss statement over the useful life of a

depreciable asset by way of a reduced depreciation charge. Where the grant equals the whole, or virtually the whole, of the cost of the asset, the asset is shown in the balance sheet at a nominal value.

(b) Grants related to depreciable asset are treated as **deferred income** which is recognised in the profit and loss statement on a systematic and rational basis over the useful life of the asset.

In the given case, ₹ 15 Lakhs was received as grant from the Central Government for installation of Effluent Treatment Plant. Since the grant was received for a fixed asset, either of the above methods can be adopted.

(iii) ₹ 25 lakhs received from State Government for providing medical facilities to its workmen during the pandemic is a grant received in nature of **revenue grant**. Such grants are generally presented as credit in the profit and loss statement, either separately or under a general heading such as **"Other Income"**. **Alternatively**, ₹ 25 lakhs may be **deducted in reporting the related expense** i.e., employee benefit expense.

Question 19

Suraj Limited provides you the following information:

(i) It received a Government Grant @ 40% towards the acquisition of Machinery worth ₹ 25 Crores.

(ii) It received a Capital Subsidy of ₹ 150 Lakhs from Government for setting up a Plant costing ₹ 300 Lakhs in a notified backward region.

(iii) It received ₹ 50 Lakhs from Government for setting up a project for supply of arsenic free water in a notified area.

(iv) It received ₹ 5 Lakhs from the Local Authority for `providing Corona Vaccine free of charge to its employees and their families.

(v) It also received a performance award of ₹ 500 Lakhs from Government with a condition of major renovation in the Power Plant within 3 years. Suraj Limited incurred 90% of amount towards Capital expenditure and balance for Revenue Expenditure.

State, how you will treat the above in the books of Suraj Limited.

Answer

(i) As per **AS 12** "Accounting for Govt. Grants", two methods of presentation in financial statements of grants related to **specific fixed assets** are regarded as acceptable alternatives. Under the first alternative, the grant of ₹ 10 crores (40% of 25 crores) is shown as a **deduction from the gross value** of the asset concerned in arriving at its book value. The grant is thus recognized the profit and loss statement over the useful life of a depreciable asset by way of a reduced depreciation charge. Under **second alternative** method, grant amounting ₹ 10 crores is treated as **deferred income** which is recognized in the profit and loss statement on a systematic and rational basis over the useful life of the asset.

(ii) In the given case, the grant amounting ₹ 150 lakhs received from the Central Government for setting up a plant in notified backward area may be considered as in the nature of **promoters' contribution**. Thus, amount of ₹ 150 lakhs should be **credited to capital reserve** and the plant will be shown at ₹ 300 lakhs.

(iii) ₹ 50 lakhs received from Govt. for setting up a project for supply of arsenic free water in notified area should be **credited to capital reserve**.

(iv) ₹ 5 lakhs received from the local authority for providing corona vaccine to the employees is a **grant**

received in nature of revenue grant. Such grants are generally presented as a credit in the profit and loss account, either separately or under a general heading '**Other Income'**. **Alternatively**, ₹ 5 lakhs may be **deducted in reporting the related expense** i.e. employee benefit expenses.

(v) ₹ 500 Lakhs will be **reduced from the renovation cost of power plant or** will be **treated as deferred income** irrespective of the expenditure done by the entity out of it as it was specifically received for the purpose major renovation of power plant. However, it may be, later on, decided by the Govt. whether the grant will have to be refunded or not due to non-compliance of conditions attached to the grant.

CHAPTER - 13
AS 13: Accounting for Investments

Accounting for Investment in Equity Shares

Question 1

On 1.4.20X1, Mr. Krishna Murty purchased 1,000 equity shares of ₹ 100 each in TELCO Ltd. @ ₹ 120 each from a Broker, who charged 2% brokerage. He incurred 50 paise per ₹ 100 as cost of shares transfer stamps. On 31.1.20X2, Bonus was declared in the ratio of 1:2. Before and after the record date of bonus shares, the shares were quoted at ₹ 175 per share and ₹ 90 per share respectively. On 31.3.20X2, Mr. Krishna Murty sold bonus shares to a Broker, who charged 2% brokerage. On 31.3.20X2, the market price of each share is ₹ 90.

Show the Investment Account in the books of Mr. Krishna Murty, who held the shares as Current assets and closing value of investments shall be made at Cost or Market value whichever is lower.

Answer

In the books of Mr. Krishna Murty

Investment Account for the year ended 31st March, 20X2

(Scrip: Equity Shares of TELCO Ltd.)

Date	Particulars	Nominal Value (₹)	Cost (₹)	Date	Particulars	Nominal Value (₹)	Cost (₹)
1.4.20X1	To Bank A/c (W.N.1)	1,00,000	1,23,000	31.3.20X2	By Bank A/c (W.N.2)	50,000	44,100
31.1.20X2	To Bonus shares (W.N.5)	50,000	–	31.3.20X2	By Balance c/d (W.N.4)	1,00,000	82,000
31.3.20X2	To P&L A/c (W.N.3)	–	3,100				
		1,50,000	**1,26,100**			**1,50,000**	**1,26,100**

Working Notes:

1. Cost of equity shares purchased on 1.4.20X1
   = (1,000 x ₹ 120) + (2% of ₹ 1,20,000) + (½% of ₹ 1,20,000) = ₹ 1,23,000
2. Sale proceeds of equity shares (bonus) sold on 31st March, 20X2
   = (500 x ₹ 90) – (2% of ₹ 45,000) = ₹ 44,100
3. Profit on sale of bonus shares on 31st March, 20X2 = Sale proceeds – Average cost
   Sale proceeds = ₹ 44,100
   Average cost = (₹ 1,23,000/1,50,000) x 50,000 = ₹ 41,000
   Profit = ₹ 44,100 – ₹ 41,000 = ₹ 3,100
4. Valuation of equity shares on 31st March, 20X2
   Cost = (₹ 1,23,000/1,50,000) x 1,00,000 = ₹ 82,000
   Market Value = 1,000 shares × ₹ 90 = ₹ 90,000
   Closing balance has been valued at ₹ 82,000 being lower than the market value.
5. Bonus shares do not have any cost.

Question 2

Mr. X purchased 500 equity shares of ₹ 100 each in Omega Co. Ltd. for ₹ 62,500 inclusive of brokerage and stamp duty. Some years later the company resolved to capitalise its profits and to issue to the holders of equity shares, one equity bonus share for every share held by them. Prior to capitalisation, the shares of Omega Co. Ltd. were quoted at ₹ 175 per share. After the capitalisation, the shares were quoted at ₹ 92.50 per share. Mr. X. sold the bonus shares and received at ₹ 90 per share. On 31.3.20X2, the market price of each share is ₹ 90.

Prepare the Investment Account in X's books.

Answer

In the books of X

Investment Account

[Scrip: Equity shares in Omega Co. Ltd.]

Particulars	Nominal Value	Cost	Particulars	Nominal Value	Cost
To Cash	50,000	62,500	By Cash - Sale (500 x 90)	50,000	45,000
To Bonus shares (W.N.1)	50,000	–	By Balance c/d (W.N. 3)	50,000	31,250
To P & L A/c (W.N. 2)	–	13,750			
	1,00,000	**76,250**		**1,00,000**	**76,250**
To Balance b/d	50,000	31,250			

Working Notes:

1. Bonus shares do not have any cost.
2. Profit on sale of bonus shares = Sales proceeds – Average cost

   Sales proceeds = ₹ 45,000

   Average cost = $\frac{500}{1,000}$ x 62,500 = ₹ 31,250

   Profit = ₹ 45,000 – ₹ 31,250 = ₹ 13,750
3. Valuation of Closing Balance of Shares at the end of year

   The total cost of 1,000 share including bonus is ₹ 62,500

   Therefore, cost of 500 shares (carried forward) is = $\frac{500}{1,000}$ x 62,500 = ₹ 31,250

   Market price of 500 shares = ₹ 90 x 500 shares = ₹ 45,000

   Cost being lower than the market price, therefore shares are carried forward at cost.

Question 3

Mr. X acquires 200 shares of a company on cum-right basis for ₹ 70,000. He subsequently receives an offer of right to acquire fresh shares in the company in the proportion of 1:1 at ₹ 107 each. He does not subscribe but sells all the rights for ₹ 12,000. The market value of the shares after their becoming ex-rights has also gone down to ₹ 60,000. What should be the accounting treatment in this case?

Answer

As per AS 13, where the investments are acquired on cum-right basis and the market value of investments immediately after their becoming ex-right is lower than the cost for which they were acquired, it may be appropriate to apply the sale proceeds of rights to reduce the carrying amount of such investments to the market value. In this case, the amount of the ex-right market value of 200 shares bought by X immediately after the declaration of rights falls to ₹ 60,000. In this case, out of sale proceeds of ₹ 12,000, **₹ 10,000 may be applied to reduce the carrying amount** to bring it to the market value and **₹ 2,000 would be credited to the profit and loss account.**

Question 4

On 1st April, 20X1 Mr. Shyam had an opening balance of 1,000 equity shares of X Ltd ₹ 1,20,000 (face value ₹ 100 each).

On 5.04.20X1 he further purchased 200 cum-right shares for ₹ 135 each. On 8.04.20X1 the director of X Ltd announced right issue in the ratio of 1:6.

Mr. Shyam waived off 100% of his entitlement of right issue in the favour of Mr. Rahul at the rate of ₹ 20 each.

All the shares held by Shyam had been acquired on cum right basis and the total market price (ex-right) of all these shares after the declaration of rights got reduced by ₹ 3,400.

On 10.10.20X1, Shyam sold 350 shares for ₹ 140 each.

On 31.03.20X2, the market price of each share is ₹ 125.

You are required to prepare the Investment account in the books of Mr. Shyam for the year ended 31.03.20X2 assuming that the shares are being valued at cost or market value, whichever is lower.

Answer

In the books of Mr. Shyam for the year ending on 31.3.20X2

(Scrip: Equity Shares of X Limited)

Date	Particulars	Nos	Amount	Date	Particulars	Nos	Amount
1.4.20X1	To Balance b/d	1,000	1,20,000	8.4.20X1	By Bank (W.N.1)	–	3,400
5.04.20X1	To Bank (200 x ₹ 135)	200	27,000	10.10.20X1	By Bank (350 x ₹ 140)	350	49,000
10.10.20X1	To P & L (W.N.2)	–	7,117	31.3.20X2	By Bal. c/d (W.N.3)	850	1,01,717
		1,200	**1,54,117**			**1,200**	**1,54,117**

Working Notes:

1. **Income by Sale of Rights = ₹ 4,000**

   The market price of all shares of X Ltd after shares becoming ex-rights has been reduced by ₹ 3,400

   In this case out of sale proceeds of ₹4,000; ₹ 3,400 may be applied to reduce the carrying amount to the market value and ₹ 600 would be credited to the profit and loss account.

2. **Profit on sale of 350 shares**

Sale price of 350 shares (350 shares x 140 each)	₹ 49,000
Less: Cost of 350 shares [(1,20,000 + 27,000 – 3,400) x 350]/1200	₹ 41,883
Profit	**₹ 7,117**

3. Valuation of 850 shares as on 31.03.20X2

Cost price of 850 shares [(1,20,000 + 27,000 – 3,400) x 850]/1,200	₹ 1,01,717
Fair Value as on 31.03.20X2 [850 x ₹ 125 each]	₹ 1,06,250
Cost price or fair value whichever is less	**₹ 1,01,717**

Question 5

On 1st April, 20X1, Rajat has 50,000 equity shares of P Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 each). He provides you the further information:

(1) On 20th June, 20X1 he purchased another 10,000 shares of P Ltd. at ₹ 16 per share.

(2) On 1st August, 20X1, P Ltd. issued one equity bonus share for every six shares held by the shareholders.

(3) On 31st October, 20X1, the directors of P Ltd. announced a right issue which entitles the holders to subscribe three shares for every seven shares at ₹ 15 per share. Shareholders can transfer their rights in full or in part.

Rajat sold 1/3rd of entitlement to Umang for a consideration of ₹ 2 per share and subscribed the rest on 5th November, 20X1.

You are required to prepare Investment A/c in the books of Rajat for the year ending 31st March, 20X2.

Answer

In the books of Rajat

Investment Account (Equity shares in P Ltd.)

Date	Particulars	Nos	Amount	Date	Particulars	Nos	Cost (₹)
1.4.20X1	To Balance b/d	50,000	7,50,000	31.3.20X2	By Balance c/d (B/f)	90,000	12,10,000
20.6.20X1	To Bank A/c	10,000	1,60,000				
1.8.20X1	To Bonus issue (W.N.1)	10,000	–				
5.11.20X1	To Bank A/c (R.S.) (W.N.4)	20,000	3,00,000				
		90,000	**12,10,000**			**90,000**	**12,10,000**

Working Notes:

(1) Bonus shares = $\frac{50,000 + 10,000}{6}$ = 10,000 shares

(2) Right shares = $\frac{50,000 + 10,000 + 10,000}{7}$ x 3 = 30,000 shares

(3) Sale of rights = $\frac{30,000 \text{ shares} \times 1}{3}$ x ₹ 2 = ₹ 20,000 credited to statement of P&L

(4) Rights subscribed = 30,000 shares x 2 x ₹ 15 = ₹ 3,00,000

Question 6

On 1.4.20X1, Sundar had 25,000 equity shares of 'X' Ltd. at a book value of ₹ 15 per share (Nominal value ₹ 10). On 20.6.20X1, he purchased another 5,000 shares of the company at ₹ 16 per share. The directors of 'X' Ltd. announced a bonus and rights issue. No dividend was payable on these issues. The terms of the issue are as follows:

Bonus basis 1:6 (Date 16.8.20X1).

Rights basis 3:7 (Date 31.8.20X1) Price ₹ 15 per share.

Due date for payment 30.9.20X1.

Shareholders were entitled to transfer their rights in full or in part. Accordingly, Sundar sold 33.33% of his entitlement to Sekhar for a consideration of ₹ 2 per share.

Dividends for the year ended 31.3.20X1 at the rate of 20% were declared by X Ltd. and received by Sundar on 31.10.20X1. Dividends for shares acquired by him on 20.6.20X1 are to be adjusted against the cost of purchase.

On 15.11.20X1, Sundar sold 25,000 equity shares at a premium of ₹ 5 per share. You are required to prepare in the books of Sundar.

(1) Investment Account

(2) Profit & Loss Account.

For your exercise, assume that the books are closed on 31.3.20X2 and shares are valued at average cost.

Answer

Books of Sundar

Investment Account (Scrip: Equity Shares in X Ltd.)

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
1.4.X1	To Bal. b/d	25,000	–	3,75,000	31.10.X1	By Bank	–	50,000	10,000
20.6.X1	To Bank	5,000	–	80,000	15.11.X1	By Bank (Sale)	25,000	–	3,75,000
16.8.X1	To Bonus (W.N.1)	5,000	–	–	31.3.X2	By Bal. c/d (W.N.6)	20,000	–	2,64,444
30.9.X1	To Bank (R.S.) (W.N.3)	10,000	–	1,50,000					
15.11.X1	To P&L (Profit)	–	–	44,444					
31.3.X2	To P&L	–	50,000	–					
		45,000	**50,000**	**6,49,444**			**45,000**	**50,000**	**6,49,444**

Profit and Loss Account (An extract)

Particulars	Amount	Particulars	Amount
To Balance c/d	1,04,444	By Profit transferred	44,444
		By Sale of rights (W.N.3)	10,000
		By Dividend (W.N.4)	50,000
	1,04,444		**1,04,444**

Working Notes:

(1) **Bonus shares** = $\frac{(25,000 + 5,000)}{6}$ = 5,000 shares

(2) **Right shares** = $\frac{(25,000 + 5,000 + 5,000)}{7}$ x 3 = 15,000 shares

(3) **Right shares** renounced = 15,000 x 1/3 = 5,000 shares

Sale of right shares = 5,000 x 2 = ₹ 10,000

Right shares subscribed = 15,000 – 5,000 = 10,000 shares

Amount paid for subscription of right shares = 10,000 x 15 = ₹ 1,50,000

(4) **Dividend received =** 25,000 (shares as on 1st April 20X1) x 10 x 20% = ₹ 50,000

Dividend on shares purchased on 20.6.X1 = 5,000 x 10 x 20% = ₹ 10,000 is adjusted to Investment A/c

(5) **Profit on sale** of 25,000 shares = Sales proceeds – Average cost

Sales proceeds = ₹ 3,75,000

Average cost = $\frac{3,75,000 + 80,000 + 1,50,000 - 10,000}{45,000}$ x 25,000 = ₹ 3,30,556

Profit = ₹ 3,75,000 – ₹ 3,30,556 = ₹ 44,444

(6) **Cost of shares** on 31.3.X2 = $\frac{3,75,000 + 80,000 + 1,50,000 - 10,000}{45,000}$ x 20,000 = ₹ 2,64,444

Question 7

On 1st April, 20X1, XY Ltd. has 15,000 equity shares of ABC Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 per share). On 1st June, 20X1, XY Ltd. acquired 5,000 equity shares of ABC Ltd. for ₹ 1,00,000. ABC Ltd. announced a bonus and right issue.

(1) Bonus was declared, at the rate of one equity share for every five shares held, on 1st July 20X1.

(2) Right shares are to be issued to the existing shareholders on 1st September 20X1. The company will issue one right share for every 6 shares at 20% premium. No dividend was payable on these shares.

(3) Dividend for the year ended 31.3.20X1 were declared by ABC Ltd. @ 20%, which was received by XY Ltd. on 31st October 20X1.

XY Ltd.

(i) Took up half the right issue.

(ii) Sold the remaining rights for ₹ 8 per share.

(iii) Sold half of its shareholdings on 1st January 20X2 at ₹ 16.50 per share. Brokerage being 1%.

You are required to prepare Investment account of XY Ltd. for the year ended 31st March 20X2 assuming the shares are being valued at average cost.

Answer

In the books of XY Ltd.

Investment in equity shares of ABC Ltd. for the year ended 31st March, 20X2

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
20X1					**20X1**				
1.4	To Bal b/d	15,000	–	2,25,000	31.10	By Bank A/c (W.N.5)	–	30,000	10,000
1.6	To Bank A/c	5,000	–	1,00,000	**20X2**				
1.7	To Bonus (W.N.1)	4,000	–	–	1.1	By Bank A/c (W.N.4)	13,000	–	2,12,355
1.9	To Bank A/c (W.N.2)	2,000	–	24,000	31.3	By Bal c/d (W.N.6)	13,000	–	1,69,500
20X2									
1.1	To P&L A/c (W.N.4)	–	–	42,855					
31.3	To P&L A/c	–	30,000	–					
		26,000	**30,000**	**3,91,855**			**26,000**	**30,000**	**3,91,855**

Working Notes:

1. Calculation of no. of bonus shares issued

$$\text{Bonus shares} = \frac{15{,}000 \text{ shares} + 5{,}000 \text{ shares}}{5} \times 1 = 4{,}000 \text{ shares}$$

2. Calculation of right shares subscribed

$$\text{Right shares} = \frac{15{,}000 \text{ shares} + 5{,}000 \text{ shares} + 4{,}000 \text{ shares}}{6} = 4{,}000 \text{ shares}$$

$$\text{Shares subscribed by XY Ltd.} = \frac{4{,}000}{2} = 2{,}000 \text{ shares}$$

3. Calculation of sale of right entitlement

= 2,000 shares x ₹ 8 per share = ₹ 16,000

Amount received from sale of rights will be credited to statement of profit and loss.

4. Calculation of profit on sale of shares

Total holding =	15,000 shares	original
	5,000 shares	purchased
	4,000 shares	bonus
	2,000 shares	right shares
	26,000 shares	

50% of the holdings were sold i.e. 13,000 shares (26,000 x 1/2) were sold.

Cost of total holdings of 26,000 shares = ₹ 2,25,000 + ₹ 1,00,000 + ₹ 24,000 – ₹ 10,000 = ₹ 3,39,000

$$\text{Average cost of 13,000 shares would be} = \frac{3{,}39{,}000}{26{,}000} \times 13{,}000 = ₹\ 1{,}69{,}500$$

	₹
Sale proceeds of 13,000 shares (13,000 x ₹ 16.50)	2,14,500
Less: 1% Brokerage	(2,145)
	2,12,355

Less: Cost of 13,000 shares	(1,69,500)
Profit on sale	42,855

5. Dividend received on investment held as on 1st April, 20X1

= 15,000 shares x ₹ 10 x 20% = ₹ 30,000 will be transferred to Profit and Loss A/c

Dividend received on shares purchased on 1st June, 20X1:

= 5,000 shares x ₹ 10 x 20% = ₹10,000 will be adjusted to Investment A/c

Note: It is presumed that no dividend is received on bonus shares as bonus shares are declared on 1st July, 20X1 and dividend pertains to the year ended 31.3.20X1.

6. Calculation of closing value of shares (on average basis) as on 31st March, 20X2

$= 13,000 \times \frac{3,39,000}{26,000} = ₹\ 1,69,500$

Question 8

On 1st April, 20X1, Mr. Vijay had 30,000 Equity shares in X Ltd. at a book value of ₹ 4,50,000 (Face Value ₹ 10 per share). On 22nd June, 20X1, he purchased another 5000 shares of the same company for ₹ 80,000.

The Directors of X Ltd. announced a bonus of equity shares in the ratio of one share for seven shares held on 10th August, 20X1.

On 31st August, 20X1 the Company made a right issue in the ratio of three shares for every eight shares held, on payment of ₹ 15 per share. Due date for the payment was 30th September, 20X1, Mr. Vijay subscribed to 2/3rd of the right shares and sold the remaining of his entitlement to Viru for a consideration of ₹ 2 per share.

On 31st October, 20X1, Vijay received dividends from X Ltd. @ 20% for the year ended 31st March, 20X1. Dividend for the shares acquired by him on 22nd June, 20X1 to be adjusted against the cost of purchase.

On 15th November, 20X1 Vijay sold 20,000 Equity shares at a premium of ₹ 5 per share.

You are required to prepare Investment Account in the books of Mr. Vijay for the year ended 31st March, 20X2 assuming the shares are being valued at average cost.

Answer

Investment Account in Books of Vijay (Scrip: Equity Shares in X Ltd.)

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
1.4.X1	To Bal b/d	30,000	–	4,50,000	31.10.X1	By Bank	–	60,000	10,000
22.6.X1	To Bank	5,000	–	80,000	15.11.X1	By Bank	20,000	–	3,00,000
10.8.X1	To Bonus	5,000	–	–	31.3.X2	By Bal. c/d	30,000	–	4,02,000
30.9.X1	To Bank (R.S.)	10,000	–	1,50,000					
15.11.X1	To P&L A/c (Profit)	–	–	32,000					
31.3.X2	To P&L A/c	–	60,000	–					
		50,000	**60,000**	**7,12,000**			**50,000**	**60,000**	**7,12,000**

Working Notes:

(1) **Bonus shares** = $\frac{(30,000 + 5,000)}{7}$ = 5,000 shares

(2) **Right shares** = $\frac{(30,000 + 5,000 + 5,000)}{8}$ x 3 = 15,000 shares

(3) **Right shares sold =** 15,000 x 1/3 = 5,000 shares

(4) **Dividend received =** 30,000 x 10 x 20% = ₹ 60,000 will be taken to P&L statement

(5) **Dividend on share purchase on 22.6.X1 =** 5,000 x 10 x 20% = ₹ 10,000 is adjusted to Investment A/c

(6) **Profit on sale** of 20,000 shares = Sales proceeds – Average cost

Sales proceeds = ₹ 3,00,000

Average cost = $\frac{4,50,000 + 80,000 + 1,50,000 - 10,000}{50,000}$ x 20,000 = ₹ 2,68,000

Profit = ₹ 3,00,000 – ₹ 2,68,000 = ₹ 32,000

(7) **Cost of shares on 31.3.X2 =** $\frac{4,50,000 + 80,000 + 1,50,000 - 10,000}{50,000}$ x 30,000 = ₹ 4,02,000

(8) Sale of rights amounting ₹ 10,000 (₹ 2 x 5,000 shares) will not be shown in investment A/c but will directly be taken to P & L statement.

Question 9

Meera carried out the following transactions in the shares of Kumar Ltd.:

(1) On 1st April, 20X1 she purchased 40,000 equity shares of ₹ 1 each fully paid up for ₹ 60,000.

(2) On 15th May 20X1, Meera sold 8,000 shares for ₹ 15,200.

(3) At a meeting on 15th June 20X1, the company decided:

(i) To make a bonus issue of one fully paid up share for every four shares held on 1st June 20X1, and

(ii) To give its members the right to apply for one share for every five shares held on 1st June 20X1 at a price of ₹ 1.50 per share of which 75 paise is payable on or before 15th July 20X1 and the balance, 75 paise per share, on or before 15th September, 20X1.

The shares issued under (i) and (ii) were not to rank for dividend for year ending 31st March 20X2.

(4) Meera received her bonus shares and took up 4,000 shares under the right issue, paying the sum thereon when due and selling the rights of the remaining shares at 40 paise per share; the proceeds were received on 30th September 20X1.

(5) On 15th March 20X2, she received interim dividend from Kumar Ltd. of 15% in respect of the current accounting year.

(6) On 30th March 20X2, she received ₹ 28,000 from the sale of 20,000 shares.

You are required to record these transactions in the Investment Account in Meera's books for the year ended 31st March 20X2 transferring any profits or losses on these transactions to Profit and Loss account. Apply average cost basis. Expenses and tax to be ignored.

Answer

Investment Account (Shares in Kumar Limited) in the books of Meera

Date	Particulars	Nos	Div.	Amount	Date	Particulars	Nos	Div.	Amount
20X1					**20X1**				
1.4	To Bank	40,000	–	60,000	15.5	By Bank	8,000	–	15,200
15.5	To P&L (W.N.1)	–	–	3,200	**20X2**				
15.6	To Bonus Share	8,000	–	Nil	15.3	By Bank	–	4,800	–
15.7	To Bank	4,000	–	3,000		(Div. @ 15% on			
	(@ 75 p. paid on					₹ 32,000)			
	4,000 shares)				30.3	By Bank	20,000	–	28,000
15.9	Bank	–	–	3,000	31.3	By Bal. c/d	24,000	–	29,455
	(@ 75 p. paid on								
	4,000 shares)								
20X2									
31.3	P&L (W.N.2)	–	–	3,455					
31.3	P&L	–	4,800	–					
		52,000	**4,800**	**72,655**			**52,000**	**4,800**	**72,655**

Working Notes:

(1) Profit on Sale on 15.5.20X1

Cost of 8,000 shares @ ₹ 1.50	₹ 12,000
Less: Sales price	₹ 15,200
Profit	**₹ 3,200**

(2) Cost of 20,000 shares sold

Cost of 44,000 shares (48,000 + 6,000)	₹ 54,000
Cost of 20,000 shares [(₹ 54, 000/44,000 Shares) x 20,000 shares]	₹ 24,545
Profit on sale of 20,000 shares (₹ 28,000 – ₹ 24,545)	**₹ 3,455**

Accounting for Investment in Interest Bearing Securities [Debentures, Bonds, etc.]

Question 10

In 20X1, M/s. Wye Ltd. issued 12% fully paid debentures of ₹ 100 each, interest being payable half yearly on 30th September and 31st March of every accounting year.

On 1st December, 20X2, M/s. Bull & Bear purchased 10,000 of these debentures at ₹ 101 ex-interest price, also paying brokerage @ 1% of ex-interest amount of the purchase. On 1st March, 20X3 the firm sold all these debentures at ₹ 103 ex-interest price, again paying brokerage @ 1% of ex-interest amount. Prepare Investment Account in the books of M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3.

Answer

In the books of M/s Bull & Bear

Investment Account for the period from 1st December 20X2 to 1st March, 20X3

(Scrip: 12% Debentures of M/s. Wye Ltd.)

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X2					**20X3**				
1.12	To Bank (W.N.1)	10,00,000	20,000	10,20,100	1.3	By Bank (W.N.2)	10,00,000	50,000	10,19,700
20X3					1.3	By P&L (Loss)	–	–	400
1.3	To P&L A/c* (b.f.)	–	30,000	–					
		10,00,000	**50,000**	**10,20,100**			**10,00,000**	**50,000**	**10,20,100**

*This represents income for M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3, i.e., interest for three months - 1st December, 20X2 to 28th February, 20X3)

Working Notes:

1. Cost of 12% debentures purchased on 1.12.20X2 ₹

Cost Value (10,000 x ₹ 101)	10,10,000
Add: Brokerage (1% of ₹ 10,10,000)	10,100
Total	**10,20,100**

2. Sale proceeds of 12% debentures sold ₹

Sales Price (10,000 x ₹ 103)	10,30,000
Less: Brokerage (1% of ₹ 10,30,000)	(10,300)
Total	**10,19,700**

Question 11

The following information is presented by Mr. Z (a stock broker), relating to his holding in 9% Central Government Bonds.

Opening balance (nominal value) ₹ 1,20,000, Cost ₹ 1,18,000 (Nominal value of each unit is ₹ 100).

1.3.20X1 Purchased 200 units, ex-interest at ₹ 98.

1.7.20X1 Sold 500 units, ex-interest out of original holding at ₹ 100.

1.10.20X1 Purchased 150 units at ₹ 98, cum interest.

1.11.20X1 Sold 300 units, ex-interest at ₹ 99 out of original holdings.

Interest dates are 30th September and 31st March. Mr. Z closes his books every 31st December. Show the investment account as it would appear in his books. Mr. Z follows FIFO method.

Answer

In the Books of Mr. Z

9% Central Government Bonds (Investment) Account

Date	Particulars	Nominal Value	Int.	Cost	Date	Particulars	Nominal Value	Int.	Cost
20X1					**20X1**				
1.1	To Balance b/d (W.N.1)	1,20,000	2,700	1,18,000	31.3	By Bank (W.N.3)	–	6,300	–

1.3	To Bank A/c (W.N.2)	20,000	750	19,600	1.7	By Bank (W.N.4)	50,000	1,125	50,000
1.7	To P&L A/c (W.N.5)	–	–	833	30.9	By Bank (W.N.6)	–	4,050	–
1.10	To Bank A/c (150 x 98)	15,000	–	14,700	1.11	By Bank (W.N.7)	30,000	225	29,700
1.11	To P&L A/c (W.N.8)	–	–	200	31.12	By Bal. c/d (W.N. 9 & W.N.10)	75,000	1,688	73,633
31.12	To P&L (B/f)	–	9,938	–					
		1,55,000	**13,388**	**1,53,333**			**1,55,000**	**13,388**	**1,53,333**

Working Note:

1. **Interest** element in opening balance of bonds = 1,20,000 x 9% x 3/12 = ₹ 2,700
2. **Purchase of bonds on 1.3.20X1**

   Interest element in purchase of bonds = 200 x 100 x 9% x 5/12 = ₹ 750

   Investment element in purchase of bonds = 200 x 98 = ₹ 19,600
3. **Interest** for half-year ended 31 March = 1,400 x 100 x 9% x 6/12 = ₹ 6,300
4. **Sale of bonds on 1.7.20X1**

   Interest element = 500 x 100 x 9% x 3/12 = ₹ 1,125

   Investment element = 500 x 100 = ₹ 50,000
5. **Profit on sale of bonds on 1.7.20X1**

   Cost of bonds = (1,18,000/1,200) x 500 = ₹ 49,167

   Sale proceeds = ₹ 50,000

   Profit element = ₹ 833
6. **Interest for half-year ended 30 September**

   = 900 x 100 x 9% x 6/12 = ₹ 4,050
7. **Sale of bonds on 1.11.20X1**

   Interest element = 300 x 100 x 9% x 1/12 = ₹ 225

   Investment element = 300 x 99 = ₹ 29,700
8. **Profit on sale of bonds on 1.11.20X1**

   Cost of bonds = (1,18,000/1,200) x 300 = ₹ 29,500

   Sale proceeds = ₹ 29,700

   Profit element = ₹ 200
9. **Closing value of investment**

Calculation of closing balance	**Nominal value**		**₹**
Bonds in hand remained in hand at 31.12.20X1			
From original holding (1,20,000 – 50,000 30,000)	40,000	(1,18,000/1,20,000) x 40,000	39,333
Purchased on 1st March	20,000		19,600

Purchased on 1st October	15,000		14,700
	75,000		**73,633**

10. Interest element in closing balance of bonds = 750 x 100 x 9% x 3/12 = ₹ 1,688

Question 12

Mr. Purohit furnishes the following details relating to his holding in 8% Debentures (₹ 100 each) of P Ltd., held as Current assets:

1.4.20X1 Opening balance – Nominal value ₹ 1,20,000, Cost ₹ 1,18,000

1.7.20X1 100 Debentures purchased ex-interest at ₹ 98

1.10.20X1 Sold 200 Debentures ex-interest at ₹ 100

1.1.20X2 Purchased 50 Debentures at ₹ 98 ex-interest

1.2.20X2 Sold 200 Debentures ex-interest at ₹99

Due dates of interest are 30th September and 31st March.

Mr. Purohit closes his books on 31.3.20X2. Brokerage at 1% is to be paid for each transaction (at ex-interest price). Show Investment account as it would appear in his books. Assume FIFO method. Market value of 8% Debentures of P Limited on 31.3.20X2 is ₹ 99.

Answer

Investment A/c of Mr. Purohit for the year ending on 31-3-20X2

(Scrip: 8% Debentures of P Limited)

(Interest Payable on 30th September and 31st March)

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X1					**20X1**				
1.4	To Bal. b/d	1,20,000	–	1,18,000	30.9	By Bank (1,300 x 100 x 8% x 6/12)	–	5,200	–
1.7	To Bank	10,000	200	9,898	1.10	By Bank	20,000	–	19,800
1.10	To P&L	–	–	133	**20X2**				
20X2					1.2	By Bank	20,000	533	19,602
1.1	To Bank	5,000	100	4,949	1.2	By P&L A/c	–	–	64
31.3	To P&L (B/f)	–	9,233	–	31.3	By Bank (950 x 100 x 8% x 6/12)	–	3,800	–
					31.3	By Balance c/d	95,000	–	93,514
		1,35,000	**9,533**	**1,32,980**			**1,35,000**	**9,533**	**1,32,980**

Working Notes:

1. Purchase of debentures on 1.7.20X1

Interest element = 100 x 100 x 8% x 3/12 = ₹ 200

Investment element = (100 x 98) + [1% (100 x 98)] = ₹ 9,898

2. Purchase of debentures on 1.1.20X2

Interest element = 50 x 100 x 8% x 3/12 = ₹ 100

Investment element = [(50 x 98) + {1% (50 x 98)}] = ₹ 4,949

3. Valuation of closing balance as on 31.3.20X2

		₹
Market value of 950 Debentures at ₹ 99		94,050
Cost of 800 Debentures cost = (1,18,000/1,20,000) x 80,000	78,667	
100 Debentures cost	9,898	
50 Debentures cost	4,949	93,514
Value at the end at whichever is less		**93,514**

4. Profit on sale of debentures as on 1.10.20X1

	₹
Sales price of debentures (200 x ₹ 100)	20,000
Less: Brokerage @ 1%	(200)
	19,800
Less: Cost of Debentures = (1,18,000/1,20,000) x 20,000	(19,667)
Profit on sale	**133**

5. Loss on sale of debentures as on 1.2.20X2

	₹
Sales price of debentures (200 x ₹ 99)	19,800
Less: Brokerage @ 1%	(198)
	19,602
Less: Cost of Debentures = (1,18,000/1,20,000) x 20,000	(19,666)
Loss on sale	**64**
Interest element in sale of investment = 200 x 100 x 8% x 4/12	**₹ 533**

Question 13

ABC Ltd. holds 2,000, 15% Debentures of ₹ 100 each in XYZ Ltd. as on April 1, 20X1 at a cost of ₹ 2,50,000.

Interest is payable on June, 30 and December, 31 each year.

Following are the details of 15% Debentures purchased and sold during the year 20X1-X2.

Particulars
On May 1, 20X1, 1,000 debentures are purchased cum-interest at ₹ 1,05,000.
On November 1, 20X1, 1200 debentures are sold ex-interest at ₹ 1,28,200.
On November 30, 20X1, 500 debentures are purchased ex-interest at ₹ 54,500.
On December 31, 20X1, 900 debentures are sold cum-interest for ₹ 1,18,000

You are required to prepare the investment Account showing value of holdings on March 31, 20X2 at cost, using FIFO Method.

Answer

In the Books of ABC Ltd

15% Debentures (Investment) Account

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X1					**20X1**				
1.4	To Balance b/d	2,00,000	7,500	2,50,000	30.6	By Bank A/c	–	22,500	–
1.5	To Bank A/c	1,00,000	5,000	1,00,000	1.11	By Bank A/c	1,20,000	6,000	1,28,200
30.11	To Bank A/c	50,000	3,125	54,500	1.11	By P&L A/c	–	–	21,800
31.12	To P&L A/c	–	–	1,250	31.12	By Bank A/c	90,000	6,750	1,11,250
20X2					31.12	By Bank A/c	–	10,500	–
31.3	To P&L A/c	–	35,375	–	**20X2**				
	(Transfer)				31.3	By Balance c/d	1,40,000	5,250	1,44,500
		3,50,000	**51,000**	**4,05,750**			**3,50,000**	**51,000**	**4,05,750**

1. Loss on sale of debentures on 1.11.X1

Cost = 2,50,000/2,000 x 1,200 ₹ 1,50,000

Sale proceeds ₹ 1,28,200

Loss = ₹ 1,50,000 less ₹ 1,28,200 ₹ 21,800

2. Profit on sale of debentures on 31.12.X1

Cost = (2,50,000/2,000 x 800) + (1,00,000/1,000 x 100) = 1,00,000 + 10,000 = ₹ 1,10,000

Sale proceeds = ₹ 1,11,250

Loss = ₹ 1,11,250 less ₹ 1,10,000 = ₹ 1,250

3. Calculation of closing balance

Debentures in hand remained in hand at 31.3.X2	Units		₹
Purchased on 1st May, X1	900	1,00,000 x 9/10	90,000
Purchased on 30th Nov. X1	500	54,500	54,500
	1,400		**1,44,500**

Accounting for Investment in Equity Shares & Interest Bearing Securities

Question 14

The following information is given for Mr. Atwood for the year ended 31.03.20X3:

01.04.20X2	Mr. Atwood has 3,000 equity shares in Sun Limited at a book value of ₹ 3,30,000 (nominal value ₹ 100 each.)
01.07.20X2	Purchased 1,500 equity shares in Sun Limited for ₹ 1,38,600.
01.08.20X2	Purchased 5,000, 9% Bonds at ₹ 97 cum-interest (face value ₹ 100). The due dates of interest are 1st September and 1st March.
02.10.20X2	Dividend declared on equity shares and paid by Sun Limited for year 20X1-20X2 @ 10%.
15.10.20X2	Sun Limited made a bonus issue of two equity shares for every five shares held.

01.01.20X3	1,000 equity shares in Sun Limited sold @₹ 115 per share.
31.03.20X3	Sold 4,000,9% Bonds @ ₹ 99 ex-interest

- The market price of Equity Shares of Sun Limited is ₹ 125 each and Bonds ₹ 98 each on 31st March 20X3.
- Interest on bonds was received on due dates.

You are required to prepare Investment Account in the books of Mr. Atwood for the year ended 31st March 20X3, assuming that the investments are valued at the average cost or market value, whichever is lower. (Round off to nearest Rupee)

Answer

In the books of Atwood

Investment in Equity Shares of Sun Ltd. Account

Date	Particulars	Nos	Div.	Amount	Date	Particulars	Nos	Div.	Amount
20X2					**20X2**				
1.4	To Balance b/d	3,000		3,30,000	2.10	By Bank (W.N. 5)	–	30,000	15,000
1.7	To Bank A/c	1,500		1,38,600	**20X3**				
15.10	To Bonus Issue	1,800		–	1.1	By Bank	1,000		1,15,000
20X3					31.3	By Balance c/d	5,300		3,81,600
1.1	To P&L (W.N. 6)	–		43,000		(W.N.7)			
31.3	To P&L (b.f.)	–	30,000	–					
		6,300	**30,000**	**5,11,600**			**6,300**	**30,000**	**5,11,600**

9% Bonds Account [Interest Payable: 1st September & 1st March]

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X2					**20X2**				
1.8	To Bank	5,00,000	18,750	4,66,250	1.9	By Bank	–	22,500	–
	(W.N.1)					(5,00,000 x			
20X3						9% x 6/12)			
31.3	To P&L	–		23,000	**20X3**				
	(W.N 3)				1.3	By Bank	–	22,500	–
31.3	To P&L	–	30,000	–	31.3	By Bank (W.N. 2)	4,00,000	3,000	3,96,000
					31.3	By Bal. c/d (WN4)	1,00,000	750	93,250
		5,00,000	**48,750**	**4,89,250**			**5,00,000**	**48,750**	**4,89,250**

Working Notes:

1. Cost of Bond purchased on 1st August, 20X2

5,000, 9% bonds were purchased @ ₹ 97 cum-interest.

Total amount paid 5,000 bonds x ₹ 97 = 4,85,000 which includes accrued interest for 5 months, i.e., 1st March, 20X2 to 31st July, 20X2.

Accrued interest will be ₹ 5,00,000 x 9/100 x 5/12 = ₹ 18,750.

Therefore, cost of Bond purchased = ₹ 4,85,000 – 18,750 = ₹ 4,66,250.

2. Sale of bonds on 31st March, 20X3

4,000 bonds were sold @ ₹ 99 ex-interest, i.e., Total amount received

= 4,000 x 99 + accrued interest for 1 month = ₹ 3,96,000 + ₹ 3,000 (4,00,000 x 9/100 x 1/12)

3. Profit on sale of bonds

	₹
Sale value	3,96,000
Cost of 4,00,000 9% bonds = (4,66,250/5,000) x 4,000	3,73,000
Profit	23,000

4. Value of bonds on 31.3.20X3

Lower of: Cost of bonds on 31.3.20X3 will be ₹ (4,66,250/5,000) x 1,000 = ₹ 93,250. Market Value on 31.3.20X3 will be ₹ 1,000 x 98 = 98,000

Value of bonds on 31.3.20X3 = ₹ 93,250

Interest accrued on bonds on 31.3.20X3 = 1,00,000 x 9% x 1/12 = ₹ 750

5. Dividend on equity shares for 20X1-X2

Post acquisition dividend = 3,00,000 x 10% = ₹ 30,000 transferred to Profit & Loss account

Pre-acquisition dividend = 1,50,000 x 10% = ₹ 15,000 credited to investment A/c

6. Profit on sale of equity shares

	₹
Sale value	1,15,000
Cost of shares = (4,53,600/6,300) x 1,000 (Average cost method being followed)	72,000
Profit	43,000

7. Value of equity shares at end of year

Lower of:

Cost of shares on 31.3.20X3 will be ₹ (4,53,600/6,300) x 5,300 = ₹ 3,81,600

Market Value on 31.3.20X3 will be ₹ 5,300 x 125 = 6,62,500

So, Value of shares = ₹ 3,81,600

Carrying Value of Investment

Question 15

On 1st December, 20X1 Ziva Limited had made an investment of ₹ 5,00,000 in 4,000 Equity Shares of Garry Limited at a price of ₹ 125 per share with an intention to hold it for not more than six months. In the first week of March, 20X2, Garry Limited suffered heavy loss due to an earthquake; the loss was not covered by an insurance policy. On 31st March,20X2, the shares of Garry Ltd. were traded at a price of ₹ 80 per share on the Stock Exchange.

How would you deal with the above investments in the books of Ziva Limited for the year ended 31st March, 20X2 as per the provisions of Accounting Standard 13 'Accounting for Investments'?

Answer

Equity Shares in Garry Ltd. will be considered as current investment as intended to hold for not more than six months. As per AS 13, "Accounting for Investments", carrying amount for current investments is the lower of cost and fair value. In respect of current Investments for which as active market exists, market value

generally provides the best evidence of fair value.

Since on 31st March, 20X2, the shares of Garry Limited were trading at a price of ₹ 80 per share on the stock exchange, the equity shares of Garry Ltd. should be carried in the financial statements at realizable value i.e. **at ₹ 3,20,000** (4,000 shares @ ₹ 80 per share). The reduction of **₹ 1,80,000 in carrying value of current investment will be charged to the statement of profit and loss** for the year ended 31st March, 20X2.

Question 16

An unquoted long-term investment is carried in the books at a cost of ₹ 2 lakhs. The published accounts of the unlisted company received in May, 20X1 showed that the company was incurring cash losses with declining market share and the long-term investment may not fetch more than ₹ 20,000. The reduction in value is apparent to be non-temporary. How will you deal with this in preparing the financial statements of R Ltd. for the year ended 31st March, 20X1?

Answer

As stated in the question that financial statements for the year ended 31st March, 20X1 are still under preparation. The answer has been given on the assumption that the financial statements are yet to be completed and approved by the Board of Directors.

Also, the fall in value of investments has been considered on account of conditions existing on the balance sheet date.

Investments classified as long-term investments should be carried in the financial statements at cost. However, provision for diminution should be made to recognise a decline, other than temporary, in the value of the investments, such reduction being determined and made for each investment individually. AS 13 (Revised) 'Accounting for Investments' states that indicators of the value of an investment are obtained by reference to its market value, the investee's assets and results and the expected cash flows from the investment. On the above basis, the facts of the given case clearly suggest that the provision for diminution should be made to reduce the carrying amount of long-term investment to **₹ 20,000 in the financial statements** for the year ended 31st March, 20X1.

Question 17

A company is engaged in the business of refining, transportation and marketing of petroleum products. During the financial year ended 31st March, 20X1, the company acquired controlling interest from Government of India in another public sector undertaking @ ₹ 1,551 per share as against the book value of ₹ 192.58 per share and market value of ₹ 876 per share as on 18th February, 20X1.

Thus, strategic premium of ₹ 675 per share has been paid considering various tangible and intangible factors.

The above investment in the shares of the acquired company has been considered as long term strategic investment and, therefore, has been accounted for at cost, i.e. at ₹ 1,551 per share in the financial statements. No provision for diminution in value has been made in the books of account.

As per the requirement of Schedule III to the Companies Act, 2013, the aggregate market value of the quoted shares has been properly reflected in the financial statements.

On 28th March, 20X1, the acquired shares were quoted at ₹ 880 per share on BSE and the current market price as on 18th July was around ₹ 300.

Considering the tangible and intangible benefits the Management is of the view that there is no permanent diminution in the value of the strategic investment in the acquired company, as the same has been considered as a long-term investment. Therefore, there is no need for provision for diminution in the value of the shares of the acquired company.

Required:

(i) Whether the accounting treatment 'at cost' under the head 'Long Term Investments' without providing for any diminution in value is correct and in accordance with the provisions of AS 13.

(ii) If any provision for diminution in the value is to be made, whether such provision should be charged to the profit and loss account or whether same can be considered as deferred expenditure and amortised over a period of 5 years. Whether it is open for the company to charge off such diminution in the value in the books of account instead of creating provision.

(iii) Whether the premium paid for strategic benefits for investment described in facts of the case, can be accounted for separately in the books of account keeping in view that AS 13 specifies that long term investments should be recorded at cost and there is no specific provision in the standard in respect of accounting for premium paid for strategic benefits.

Answer

(i) The accounting treatment 'at cost' under head 'Long Term Investment' in separate financial statements of company without providing for any diminution in value is **correct** and is in accordance with the provisions of AS 13 provided that there is no decline, other than temporary, in the value of investment.

(ii) The provision for diminution in the value of investment should be a charge to profit and loss statement. As per requirements of AS 13, the diminution in the value of **investment can neither be accounted for as deferred revenue expenditure** nor it can be written off in the statement of profit and loss.

(iii) The long-term investments should be carried at cost as per the requirements of AS 13. The amount paid over and above market price should be treated as cost and **cannot be accounted for separately**.

Question 18

X Ltd. on 1.1.20X1 had made an investment of ₹ 600 lakhs in the equity shares of Y Ltd. of which 50% is made in the long-term category and the rest as temporary investment. The realisable value of all such investment on 31.3.20X1 became ₹ 200 lakhs as Y Ltd. lost a case of copyright. From the given market conditions, it is apparent that the reduction in the value is not temporary in nature. How will you recognise the reduction in financial statements for the year ended on 31.3.20X1?

Answer

X Ltd. invested ₹ 600 lakhs in the equity shares of Y Ltd. Out of the same, the company intends to hold 50% shares for long term period i.e. ₹ 300 lakhs and remaining as temporary (current) investment i.e. ₹ 300 lakhs. Irrespective of the fact that investment has been held by X Ltd. only for 3 months (from 1.1.20X1 to 31.3.20X1), AS 13 (Revised) lays emphasis on intention of the investor to classify the investment as current or long term even though the long-term investment may be readily marketable.

In the given situation, the realisable value of all such investments on 31.3.20X1 became ₹ 200 lakhs i.e. ₹ 100 lakhs in respect of current investment and ₹ 100 lakhs in respect of long-term investment.

As per AS 13 (Revised), 'Accounting for Investment', the carrying amount for current investments is the

lower of cost and fair value. In respect of current investments for which an active market exists, market value generally provides the best evidence of fair value.

Accordingly, the carrying value of investment held as temporary investment should be **shown at realisable value i.e. at ₹ 100 lakhs.** The reduction of ₹ 200 lakhs in the carrying value of current investment will be charged to the profit and loss account.

The Standard further states that long-term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of long-term investment, the carrying amount is reduced to recognise the decline.

Here, Y Ltd. lost a case of copyright which drastically reduced the realisable value of its shares to one third which is quiet a substantial figure. Losing the case of copyright may affect the business and the performance of the company in the long run. Accordingly, it will be appropriate to reduce the carrying amount of long-term investment by ₹ 200 lakhs and **show the investments at ₹ 100 lakhs**, since the downfall in the value of shares is other than temporary. The reduction of ₹ 200 lakhs in the carrying value of long-term investment will also be charged to the Statement of profit and loss.

Question 19

Gowtham Limited invested in shares of another company (with the intention to hold the shares for short-term period) on 30th November, 20X3 at a cost of ₹ 4,25,000. It also earlier purchased Gold of ₹ 8,00,000 and Silver of ₹ 3,50,000 on 31st March, 20X1.

Market values as on 31st March, 20X4, of the above investments are as follows:

Shares	₹ 3,50,000
Gold	₹ 10,25,000
Silver	₹ 5,10,000

You are required to explain how will the above investments be shown (individually and in total) in the books of account of Gowtham Limited for the year ending 31st March, 20X4 as per the provisions of AS 13.

Answer

As per AS 13 (Revised) 'Accounting for Investments', for investment in shares - if the investment is purchased with an intention to hold for short-term period (less than one year), then it will be classified as current investment and to be carried at lower of cost and fair value, i.e., in case of shares, at lower of cost (₹ 4,25,000) and market value (₹ 3,50,000) as on 31st March 20X4, i.e., **₹ 3,50,000**.

Gold and silver are generally purchased with an intention to hold it for long term period (more than one year) until and unless given otherwise. Hence, the investment in Gold and Silver (purchased on 31st March, 20X1) should continue to be shown at cost (since there is no 'other than temporary' diminution) as on 31st March, 20X4, i.e., **₹ 8,00,000 and ₹ 3,50,000** respectively, though their market values have been increased.

Thus, the shares, gold and silver will be shown at ₹ 3,50,000, ₹ 8,00,000 and ₹ 3,50,000 respectively and hence, total investment will be valued at ₹ 15,00,000 for the year ending on 31st March, 20X4 as per AS 13.

Question 20

Mr. Mohan has invested some money in various Mutual funds. Following information in this regard is given:

Mutual Funds	Date of purchase	Purchase cost (₹)	Brokerage Cost (₹)	Stamp duty (₹)	Market value as on 31.03.20X5 (₹)
A	01.05.20X1	50,000	200	20	48,225
B	05.08.20X4	25,000	150	25	24,220
C	01.01.20X5	75,000	300	75	78,190
D	07.05.20X4	70,000	275	50	65,880

You are required to:

(i) Classify his investment in accordance with AS-13 (revised).

(ii) Value of Investment in mutual fund as on 31.03.20X5

Note: The reduction in value is apparent to be non-temporary.

Answer

As per AS 13 "Accounting for Investments", a current investment is an investment that is by its nature readily realizable and is intended to be held for not more than one year from the date on which such investment is made. The carrying amount for current investments is the lower of cost and fair value.

A long-term investment is an investment other than a current investment. Long term investments are usually carried at cost. If there is a decline, other than temporary, in the value of a long-term investment; the carrying amount is reduced to recognize the decline.

Mutual Funds	Classification	Cost (₹)	Market value (₹)	Carrying value (₹)
A	Long-term Investment	50,220	48,225	48,225
B	Current Investment	25,175	24,220	24,220
C	Current Investment	75,375	78,190	75,375
D	Current Investment	70,325	65,880	65,880
Total				**2,13,700**

Reclassification of Investments

Question 21

ABC Ltd. wants to re-classify its investments in accordance with AS 13 (Revised). Decide and state on the amount of transfer, based on the following information:

(1) A portion of current investments purchased for ₹ 20 lakhs, to be reclassified as long-term investment, as the company has decided to retain them. The market value as on the date of Balance Sheet was ₹ 25 lakhs.

(2) Another portion of current investments purchased for ₹ 15 lakhs, to be reclassified as long-term investments. The market value of these investments as on the date of balance sheet was ₹ 6.5 lakhs.

(3) Certain long-term investments no longer considered for holding purposes, to be reclassified as current investments. The original cost of these was ₹ 18 lakhs but had been written down to ₹ 12 lakhs to recognise other than temporary decline as per AS 13 (Revised).

Answer

As per AS 13 (Revised), where investments are reclassified from current to long-term, transfers are made at